BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Case 25-E-XXXX, 25-G-XXXX

January 2025

Prepared Testimony of:

Site Investigation and

Remediation Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
SITE INVESTIGATION AND REMEDIATION PANEL

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
SITE INVESTIGATION AND REMEDIATION PANEL

PANEL INTRODUCTION

Q. Would members of the Site Investigation and Remediation Panel ("Panel") please state their names and business addresses?

A. Venetia Lannon, 4 Irving Place, New York, NY 10003 and Anita Ma, 31-01 20th Avenue, Astoria New York 11105.

Q. By whom are you employed and in what capacity?

A. (Lannon) I am employed by Consolidated Edison Company of New York, Inc. ("Con Edison" or the "Company") where I hold the position of Vice President, Environment, Health and Safety ("EH&S").

(Ma) I am employed by Con Edison where I hold the position of Director, Environment and Sustainability in the EH&S Department.

Q. Please briefly outline your educational and business experience.

A. (Lannon) I joined Con Edison in April 2021. Prior to joining the Company, I was Vice President at Matrix New World Engineering, with market development responsibilities including climate adaptation services with a focus on nature-based systems for waterfront facilities, green infrastructure, and renewable energy.

Before joining the private sector, I spent 20 years in public service, most recently as former Governor Andrew Cuomo's Deputy Secretary for the Environment. In this capacity, I served as environmental policy advisor to the Governor and his cabinet and oversaw the operations of the state's environmental agencies, including the Department of Environmental Conservation ("DEC"), the Office of Parks, Recreation & Historic Preservation, the Environmental Facilities Corporation and the Adirondack Park Agency.

Previously, I was appointed by former Governor Cuomo as Regional Director for the DEC, overseeing 200 staff and all aspects of the DEC's work in New York City. Prior to that, I held several positions working for the City of New York, as a Senior Vice President of the New York City Economic Development Corporation ("EDC") and as Deputy Director of the Recycling Bureau at the New York City Department of Sanitation, where I was responsible for the composting program. I hold a Bachelor of Arts degree from Vassar College and a Master's degree in Public Administration, focusing on environmental policy, from Columbia University.

(Ma) I joined Con Edison in 1989 and have held positions of increasing responsibility in a variety of operating and support positions including: Management and Assistant Engineer Intern, Associate Engineer A in Construction, System Engineer at Astoria Generating Station, Account Executive in Manhattan Energy Services, Engineer in Energy Management, and various positions within Electric Operations including General Manager in Central Energy Services and General Manager in Manhattan Electric Operations. In November 2016, I assumed the duties of Director, EH&S Field Services. In May 2020, EH&S Remediation merged with EH&S Field Services. These two departments include Laboratory Services, Response & Planning, Asbestos Response and the Company's Site Investigation and Remediation ("SIR") Program. My responsibilities related to the SIR Program include the management of a diverse set of remediation programs, including manufactured gas plant and manufactured gas storage holder ("MGP") Sites, Superfund Sites, Underground Storage Tanks, Appendix B Sites (Historic Fuel and Dielectric Oil Spills), and other sites, including real estate sites, that do not fall into any of these specific categories (included in this testimony as

"Other Sites"). In November 2022, Air Resources, Environmental Programs and Sustainability merged with EH&S Field Services to become EH&S Environment and Sustainability, which continues to include EH&S Remediation. In May 2023, the Environmental Field Team was established and added to my responsibilities to focus on significant environmental incidents, related drills and training, emerging and changing environmental regulation and environmental compliance.

I hold a Bachelor of Science degree in Mechanical Engineering from Columbia University and a Master of Science degree in Management from Rensselaer Polytechnic Institute.

Q. Have any members of the Panel previously submitted testimony to the New York State Public Service Commission ("Commission")?

A. (Lannon) Yes. I submitted testimony to the Commission in Cases 22-E-0064, 22-G-0065, and 22-S-0659.

(Ma) Yes. I submitted testimony to the Commission in Cases 22-E-0064, 22-G-0065, 22-S-0659, 24-E-0060, and 24-G-0061.

SUMMARY OF TESTIMONY

Q. Please summarize your testimony.

A. Our testimony focuses on the following EH&S-related activities and their projected costs: SIR Program activities that are mandated by law, agreements, regulations, consent orders, permit requirements, and environmental due diligence. In particular, we describe Con Edison's program for the investigation and remediation of MGP Sites. We also discuss Superfund Sites for which Con Edison is responsible, as well as the requirements of the Appendix B section of the November 1994 Consent Order between Con Edison and the DEC, as modified by the December 2006 Consolidated Consent Order ("Appendix B"). In addition, we address the Resource Conservation and Recovery Act ("RCRA") corrective action requirements of the hazardous waste management facility operating permit that was initially issued by the DEC in May 1994 and subsequently renewed in March 2001 and July 2008 for the Company's Polychlorinated Biphenyl ("PCB")/Hazardous Waste Storage Facility at its Astoria Site. The Company has submitted a permit renewal, and it is under review by the DEC. We discuss Underground Storage Tank ("UST") Sites, which the Company must address under federal and New York State regulations. We also discuss other sites with known or potential

contamination that Con Edison is addressing. In total, Con Edison expects to spend approximately $47.9 million for these SIR Program activities during the Rate Year (January 1, 2026 through December 31, 2026) and $51.4 million during the Linking Period (the five quarters from October 1, 2024 through December 31, 2025). We explain the steps the Company takes to control and mitigate its SIR Program costs, and we detail the process for site investigation and remediation, including the development of work plans, Company and contractor staffing for the Company's SIR Program, and the Company's internal controls. We also address the Company's compliance with the Commission's rate case filing requirements.

SIR PROGRAM OVERVIEW

Q. Please provide an overview of Con Edison's SIR Program.

A. Con Edison has a comprehensive ongoing program for managing its SIR sites and verifying that required remedial response measures (investigations followed by any necessary remedial action) are properly performed in accordance with applicable regulatory requirements for sites that have been contaminated by past releases of hazardous wastes and hazardous substances, including petroleum products, from Con Edison's and its predecessor

companies' facilities and/or operations. This program encompasses the following types of sites, each of which is discussed more fully below in the section of our testimony entitled "Discussion of SIR Program Sites": (1) MGP Sites; (2) Superfund Sites; (3) oil and dielectric fluid spill sites subject to the investigation and cleanup requirements of Appendix B; (4) the areas of the Astoria Site subject to the Resource Conservation and Recovery Act ("RCRA") corrective action requirements imposed under the DEC's hazardous waste management facility operating permit for the Company's PCB/Hazardous Waste Storage Facility at that site; (5) UST Sites; and (6) other sites with known or potential contamination that Con Edison is addressing and that do not fall under the aforementioned five programs (included in this testimony as "Other Sites").

Q. Please describe each step in the Company's SIR Program process from site investigation to project completion.

A. The SIR Program process usually involves multiple steps and may vary depending on the characteristics of the particular site and applicable regulatory requirements. Generally, the process is also subject to regulatory oversight by the relevant state or federal environmental

agency. The typical first step is investigation, followed by a determination of whether remediation is required. If remediation is required, the Company will proceed with remedial planning and then remedial construction. If applicable, certain post-remedial measures, such as institutional and engineering controls, may be put in place. This stepwise process is discussed more fully below in the section of our testimony entitled "SIR Program Process".

Q. Please describe the progress made in the SIR Program since the most recent rate cases, Cases 22-E-0064, 22-G-0065.

A. Since its last Electric and Gas Rate filing, the Company has made significant progress investigating and implementing remediation at sites included in the SIR program. During the period 2022 through January 31, 2025, the Company completed 46 remedial investigations, 3 remedial designs, and 8 remedial actions; prepared 28 work plans; and received 20 No Further Action ("NFA") determinations for individual spills at Appendix B sites, resulting in 7 Appendix B sitewide closures.

SIR PROGRAM PROJECTED EXPENDITURES

Q. How much does the Company expect to spend during the Linking Period and the Rate Year for its SIR Program?

A. For the Linking Period, the total expenditure for the SIR Program is projected to be approximately $51.4 million. For the Rate Year, the Company projects an expenditure of approximately $47.9 million for its SIR Program.

Q. Has the Company estimated projected SIR costs for any time periods after the Rate Year?

A. Yes. As discussed by the Company's Accounting Panel, while the Company is not proposing a multi-year rate plan, in addition to providing projections for the Rate Year, the Panel also provides projected expenditures for the two years following the Rate Year in this proceeding. The Company currently projects SIR costs to be approximately $43.9 million from January 1, 2027 through December 31, 2027 and approximately $39.5 million from January 1, 2028 through December 31, 2028. All projected costs (for the Linking Period, Rate Year, and two subsequent years) are rounded to the nearest $100,000.

Q. Has an exhibit titled "CONSOLIDATED EDISON COMPANY OF NEW YORK, INC. SITE INVESTIGATION AND REMEDIATION EXPENDITURES ($ X 1,000) FOR THE LINKING PERIOD (October

1, 2024 through December 31, 2025) RATE YEAR (January 1, 2026 through December 31, 2026) and TWO SUBSEQUENT TWELVE-MONTH PERIODS BEGINNING JANUARY 1, 2027 AND THROUGH DECEMBER 31, 2028 BASED ON 4Q24 PRELIMINARY ACTUALS AND JANUARY 31, 2025 COST PROJECTIONS)" been prepared under your direction or supervision?

A. Yes. MARK FOR IDENTIFICATION AS EXHIBIT __ (EHS-1). Exhibit ___(EHS-1) provides an overall summary of cost projections for the Linking Period, Rate Year and next two twelve-month periods by type of site in the SIR Program.

Q. Does the Company have any general year-over-year observations it would like to share about the cost projections in Exhibit___(EHS-1)?

A. Yes. As shown in Exhibit___(EHS-1), the Company anticipates that its SIR costs will be relatively stable over the course of the Linking Period (five quarters at about $51.4 million), Rate Year (about $47.9 million) and subsequent two years (about $43.9 million and $39.5 million, respectively). As a result, the SIR-related costs would be incurred relatively evenly across the Rate Years with similar impacts to rates year-over-year. Notably, these forecasts are also consistent with the

Company's actual SIR Program spend for Fiscal Year 2024 of approximately $43.7 million.

Q. Has the Company prepared a site-by-site summary of the SIR Program cost projections for the Linking Period and Rate Year?

A. Yes. An exhibit titled "SIR COST PROJECTIONS FOR THE LINKING PERIOD AND RATE YEAR (2026)" was prepared under our direction and supervision. MARK FOR IDENTIFICATION AS EXHIBIT __ (EHS-2). Exhibit __ (EHS-2) includes a summary of quarterly cost projections for the Linking Period and an annual cost projection for the Rate Year for each Con Edison remediation program and site, including a brief description of the projected activities for each site during each of these time periods.

Q. Is there a particular subset of SIR Sites that are the primary cost-drivers for the Rate Year projections?

A. Yes. As shown on Exhibit __ (EHS-2), while there are currently a total of 76 SIR sites, approximately 90% of the projected SIR costs for the Rate Year are attributable to 9 sites (the East 11th Street MGP Site, Farrington Street MGP Site, Hunts Point MGP Site, Ossining MGP Site, Pelham MGP Site, Zerega Avenue MGP Site, Astoria Site, Gowanus Canal Superfund Site, and 24

Market Street, Ossining property). Specifically, these 9 sites each have projected costs of $1 million or more during the Rate Year and account for approximately $43.2 million of the $47.9 million in total SIR cost projections for the Rate Year. Many of these same sites also have projected expenditures of $1 million or more during the Linking Period.

Q. Has an exhibit providing more detailed information been prepared under your direction or supervision for sites with projected expenditures of at least $1 million during either the Linking Period or the Rate Year?

A. Yes, that exhibit is titled "CONSOLIDATED EDISON COMPANY OF NEW YORK, INC. - ADDITIONAL INFORMATION ON SITES WITH PROJECTIONS OVER $1 MILLION IN THE LINKING PERIOD OR RATE YEAR (PROJECTED COSTS UPDATED AS OF JANUARY 31, 2025)". MARK FOR IDENTIFICATION AS EXHIBIT ___ (EHS-3). Please note that one site for which there are expenditures in excess of $1 million during the Linking Period is excluded from this exhibit (the Pemart Avenue MGP Site) because nearly all of the Linking Period costs were already incurred during 4Q2024 for completing the remediation, as described in more detail below (the

remaining Linking Period costs projected for this site are less than $1 million).

Q. How did you determine the projected expenditures for the SIR Program?

A. The projections are based on forecasted spending levels for investigation, remediation, or operation, maintenance, and monitoring ("OM&M") related activities that are expected to be required as part of these programs during the Linking Period and the Rate Year. They are based on best estimates by the Company's project managers in conjunction with support teams such as Engineering Estimating, or the Company's environmental and engineering consultants. In certain instances, cost projections are based on information from third parties. These third parties can include property developers who are currently managing the remedial program for certain portions of former Company MGP sites under the New York State Brownfield Cleanup Program ("BCP"), or a group of potentially responsible parties ("PRPs"), of which the Company is a member, at a multi-party Superfund Site. In these instances, both the projections and project implementation are usually not in the Company's direct control. With respect to certain third-party Superfund

Sites at which the Company's allocated share has been determined (Borne Chemical, Cortese Landfill, Metal Bank Cottman, Global Landfill, and the remedial design costs for the Gowanus Canal), the projections are based on the Company's allocated share of costs, which provides some additional certainty for these projections.

Q. Please provide further detail about the kind of information used to prepare projections for each type of project.

A Sites can be in the investigative phase (site characterization ("SC") or remedial investigation ("RI")), remedial planning phase (which runs through development of a remedial design), remedial action phase (which consists of contractor procurement and implementation of the remedy) or post-remediation OM&M phase (which can begin before or after the Company receives a No Further Action ("NFA") determination and could, for example, include long-term system operations, gauging, residual non-aqueous phase liquid ("NAPL") recovery or groundwater sampling). For the projects that are currently in the RI or OM&M phase, projections are based on past performance of same or similar work scopes (e.g., OM&M of NAPL recovery systems, advancing soil

borings or conducting well decommissioning), recent cost estimates from environmental consultants to complete the same or similar work, and/or recurring annual OM&M costs from previous years at the same site. The projections for the OM&M costs tend to be fixed costs incurred over time. For the projects in the remedial planning or remedial action phase, costs are estimated based on currently available information. For example, if a draft or a final remedial design was completed, the costs are estimated based on the engineer's estimate, which provides a higher level of confidence for the projections. If a draft remedial design has not yet been completed, costs are estimated based on the projections included in the Alternatives Analysis Report ("AAR") and/or Feasibility Study ("FS"), adjusted for inflation. Costs incurred for similar projects completed in the past may also be used as a reference.

Q. How often does the Company re-evaluate its projected schedules and costs for the SIR Program?

A. The Company internally reviews and evaluates its projected schedules for its SIR Program at least annually and more frequently for active projects. The Company's

SIR cost projections are reviewed internally and updated as necessary, but at least quarterly.

Q. What factors could cause changes in projected schedules and estimated costs?

A. As is the case for any projection, the SIR-related costs and schedules presented in this SIR testimony and exhibits are subject to change due to various types of contingencies, including: variation between anticipated and actual RI results; the discovery of different or more extensive contamination during pre-design investigations ("PDIs") or remedy implementation; extended regulatory review/approval processes with applicable governmental authorities; changes to anticipated remedies due to regulatory agency, community, or affected landowner concerns; changes in projected future land use; large-scale redevelopment newly proposed by property owners; delays in obtaining required federal, state, and/or local agency permits for remedy implementation; difficulties securing access and cooperation from property owners for the implementation of investigation or remediation activities; unanticipated field conditions or force majeure events; and/or changes to the regulatory requirements applicable to the Company's SIR programs.

Schedule changes may result in a timing shift (such as a delayed project start date), extended project schedule and/or the acceleration or substitution of other projects.

Q. Can potential cost and schedule uncertainties also vary depending upon a particular site's remedial phase?

A Yes. Typically, the investigative and OM&M phases can be expected to have lower variability in costs and schedule due to well-defined scopes, relatively routine work plan approval processes, and generally regular and predictable expenses. The extent and duration of access required from the relevant third-party property owners for each stage of investigation may also be relatively limited and straightforward.

In contrast, the early stages of the remedial planning phase requires extensive evaluation of available technical data; analysis of applicable technologies that can address the contamination; remedy selection and approval from the DEC or U.S. Environmental Protection Agency ("EPA") including issuance of a Decision Document; and, potentially the need for one or more PDIs and treatability studies to collect information necessary to develop a remedial design package. The relevant property

owners and other interested parties may also decide to play an active role in the remedy selection, such as by submitting comments on proposed remedies to the DEC or EPA, which can extend the process. These factors during the remedial planning phase can result in variability in projected schedule and costs. However, such variability often will become much lower later in the remedial planning process and particularly after the remedial design is largely developed.

The remedial action phase of a project often involves a complex planning process, including, as applicable, securing access and cooperation from relevant third-party property owners. However, such variability often will become much lower after third-party property access and cooperation is secured.

Q. Were these factors that cause potential uncertainty in costs and schedules evaluated when preparing the SIR Program projections for this Rate Case?

A Yes, these uncertainty factors were evaluated and incorporated when preparing schedule and cost projections, based on typical past experience and the specific circumstances relevant to each site.

Q. Can you please discuss this in the context of the 9 SIR Sites mentioned above that are the primary cost-drivers for the Rate Year projections?

A. Yes. Based on currently available information and the remedial phase for these sites, the Company believes that many of these uncertainty factors either are not applicable or have been incorporated into the Company's cost and schedule projections presented in the Rate Case for these 9 SIR Sites. Among other things, this is based on comprehensive early planning, evaluation of Company access to the relevant properties and inclusion of contingencies for regulatory approval processes.

Q. Can you please provide specific examples?

A. Yes. As noted above, one typical area of uncertainty is obtaining access and cooperation from third-party property owners so that the Company can implement the remedy. For these 9 SIR Sites that are the primary cost-drivers for the Rate Year, this concern is either not applicable or is not anticipated to delay the projects. For 4 of the 9 sites, the Company either owns the relevant properties (the Farrington Street MGP Site, Astoria Site, and 24 Market Street, Ossining property) or has an existing access agreement in place to conduct the

onsite OM&M activities (Pelham MGP Site). For 3 of the 9 sites, either third parties are conducting the remedy under the BCP and the Company has a cost-sharing agreement in place (Hunts Point MGP Site and Ossining MGP Site) or a PRP group is implementing the remedy with U.S. EPA oversight (Gowanus Canal Superfund Site). For the remaining 2 sites (E. 11th Street MGP Site and Zerega MGP Site), the Company has been engaged in productive discussions with the third-party property owners and currently anticipates that access would be provided during the Rate Year.

Q. Please discuss what remedial phase these 9 SIR Sites are in and how that could affect cost and schedule projections.

A. As discussed above, the potential for cost and schedule changes could vary depending on a particular site's current remedial phase. As described in further detail in the Exhibit ___ (EHS-3), each of these 9 SIR sites (or portions of these sites) have reached a stage at which costs and schedules are relatively predictable for particular projects in the Rate Year. For 5 of these 9 SIR sites, certain portions of the sites (such as specific properties or Operable Units) are currently in

the advanced stages of the remedial planning process (E. 11th Street MGP Site, Farrington Street MGP Site, Hunts Point MGP Site, Ossining MGP Site, and Zerega MGP Site). Likewise, the remaining 4 sites have reached a remedial phase that places them on-track for the anticipated Rate Year activities. The Company-owned 24 Market Street, Ossining property is a small, 1.4-acre former substation property that the Company has fully investigated and for which a targeted excavation remedy is planned for the Rate Year prior to marketing the property for sale. The Company-owned Astoria Site is a large property that involves a variety of separate remedial activities ranging from investigations to OM&M that have been progressing each year. The Gowanus Canal Superfund Site is in the midst of a multi-year, ongoing remediation by the PRP group that has been continuing apace. On-site activities associated with the Pelham MGP Site largely relate to ongoing annual OM&M work.

Q. Are there any existing or anticipated insurance proceeds available to off-set SIR expenses?

A. Possibly. In December 2014, the Company received a first interim payment of 15% of its $6,840,000 claim ($1,026,000) in the Home Insurance Company liquidation

proceeding pending in New Hampshire Superior Court for losses associated with the Company's MGP Sites. The Company received a second interim payment of 10% of its claim ($683,995) in August 2016, a third interim payment of 5% of its claim ($341,998) in April 2019, a fourth interim payment of 10% of its claim ($683,995) in October 2023, and a fifth interim payment of 5% of its claim ($341,998) in November 2024. The Company does not presently know how much more, if any, it will recover on its claim against The Home Insurance Company. Future recoveries, if any, will be determined during the course of the liquidation proceeding by the Insurance Commissioner for the State of New Hampshire, acting as liquidator.

Q. Do you expect to receive any other insurance proceeds that could off-set SIR expenses?

A. Except as described above, the Company does not currently anticipate receiving any other insurance proceeds.

Q. Are there any existing or anticipated third-party contributions available to off-set SIR expenses?

A. Yes, pursuant to a confidential settlement agreement with UGI Utilities, Inc. ("UGI"), UGI is required to pay a portion of the Company's future costs for two of the

three Yonkers MGP Sites. From time to time, the Company requests payments from UGI as costs are incurred at the two Yonkers MGP Sites.

Q. Is there any SIR-related litigation that could affect SIR expenses?

A. Yes. In October 2024, the Brooklyn Union Gas Company d/b/a National Grid NY filed a lawsuit in the United States District Court for the Eastern District of New York alleging that 39 PRPs, including Con Edison, are jointly and severally liable for funding the cleanup costs for the Gowanus Canal Superfund Site, which National Grid asserts will exceed $1 billion. The case is captioned *Brooklyn Union Gas Co. v. Consolidated Edison Co. of New York, Inc., et al.*, E.D.N.Y. Civil Action No. 1:24-cv-06993. While this lawsuit is in its preliminary phase and its outcome is uncertain, the Company expects to vigorously defend against this litigation and seek a fair, just and equitable allocation of the response costs among the PRPs at the Gowanus Canal Superfund Site that properly reflects the Company's very limited contribution to contamination in the Canal.

DISCUSSION OF SIR PROGRAM SITES

Q. Please provide a more detailed discussion of the various types of sites within the SIR Program, progress in addressing those sites and anticipated work during the Rate Year.

A. The Company's SIR programs and projects are described further below under their respective categories: MGP Sites, Superfund Sites, Appendix B Sites, the Astoria Site, UST Sites, and Other Sites.

MGP SITES

Q. Before describing Con Edison's investigation and remediation efforts for its MGP Sites, please provide a brief background on Con Edison's and its predecessor companies' former MGPs.

A. MGPs provided energy in the form of combustible gases of varying composition to municipal street lighting systems and to homes and businesses in cities and towns across the more densely populated regions of the United States. In the case of the areas served by Con Edison and its predecessor companies, MGPs operated from the late 1820s through the early 1960s. The earliest of these plants produced illuminating gases from whale oil and/or rosin. The plants constructed during and after the 1830s

converted coal (oven gas) or a combination of coke or coal, oil and water in the form of steam (carbureted water gas) into a gas product that could be used for lighting, cooking, and heating. There were more than 250 MGPs in New York State and an estimated 3,000 to 5,000 in the United States prior to these plants becoming obsolete due to the construction of natural gas pipelines and large electric generating stations. Holder stations were used for the storage of manufactured gas that had been produced at MGPs. They consisted of large storage tanks (holders) of varying composition and design.

Q. What are the present environmental concerns related to MGP Sites?

A. Manufactured gas production was a complex process that entailed the handling and storage of significant quantities of feedstock materials, by-products, and residuals that contain organic and inorganic chemical constituents that are now considered to be hazardous substances under federal and New York State laws and regulations and that, when released to soil, groundwater, or waterways, may pose a threat to human health or the environment. The materials of primary concern at MGP Sites include carbureting oils, scrubber oils, coal tar,

coal tar-related emulsions and sludges, and gas purification wastes. At manufactured gas storage holder sites, these materials include oils (which were used in hydraulic systems as lubricants or to maintain airtight seals between holder tank bases, bellows and shells) and coal tar (which at times condensed out of stored manufactured gas or was used to maintain airtight seals between holder tank bases, bellows, and shells).

Q. Please describe the DEC's level of activity regarding MGP Sites.

A. The DEC continues to require New York State's investor-owned utilities to investigate and, when necessary to protect human health and the environment, undertake remedial response actions for the sites of their or their predecessors' former MGPs. Most New York State utilities have entered administrative consent orders ("ACOs"), or cleanup agreements with the DEC under which the utilities have agreed to address their MGP Sites. In some cases (such as Con Edison), these ACOs or cleanup agreements cover multiple sites. Under the DEC's MGP program, investigations and/or remedial action work have been undertaken or are planned at more than 200 former MGP Sites across the State. The DEC's MGP program is

grounded in a federal initiative to address former MGP Sites throughout the country. The New York State Department of Health ("DOH"), which works with the DEC in evaluating the results of MGP Site investigations and determining the need for remedial response actions for them, views the primary goal of these investigations as assessing potential human exposure to MGP-related contaminants.

Q. Please provide the background for Con Edison's MGP SIR Program.

A. Con Edison and its predecessor companies formerly produced gas and maintained storage holders for manufactured gas at 51 sites (collectively, "MGP Sites") located throughout Manhattan, the Bronx, Westchester County, and western Queens, New York. Many of these sites are now owned by parties other than Con Edison and have been redeveloped by their new owners for other uses, including schools, residential and commercial developments, public parks, and hospitals. The DEC requires the Company to investigate and, if necessary, develop and implement DEC and DOH approved remedial action plans for all of its and its predecessor companies' confirmed MGP Sites, which presently include

34 MGP sites and 17 storage holder sites. Of these 51 sites, only 16 are still owned in whole or in part by the Company. In addition, most of the sites have been subdivided into separate properties, with different owners. As a result, the 51 sites currently comprise more than 150 different properties.

Q. Has a listing been prepared of the former MGP Sites that the DEC is requiring Con Edison to investigate and, if deemed necessary by the DEC and/or the DOH, to implement remedial action plans?

A. Yes. The exhibit titled "CONSOLIDATED EDISON COMPANY OF NEW YORK, INC. MGP SITE LISTING" provides a listing of those sites, the current or contemplated use of the sites, and the required investigation and remediation activities that have been completed for these sites as of January 31, 2025.

Q. Was this exhibit prepared under your direction or supervision?

A. Yes, it was.

MARK FOR IDENTIFICATION AS EXHIBIT __ (EHS-4)

Q. Please describe the Company's agreements with the DEC for the cleanup of the Company's former MGP Sites.

A. On August 15, 2002, Con Edison entered into a cleanup agreement with the DEC under the DEC's Voluntary Cleanup Program ("VCP") to conduct investigations and, if necessary, DEC/DOH-approved remediation at 45 of the 51 MGP Sites listed in Exhibit ___ (EHS-4) (the "2002 Agreement"). Of the remaining six sites listed in that exhibit, two sites were added to the 2002 Agreement after the Company had entered into the 2002 Agreement — East 14th Street Works (Stuyvesant Town) Site in January 2003 and Hastings-on-Hudson Gas Works Site in September 2007, which resulted in the 2002 Agreement covering 47 sites. The remaining four sites are covered by either individual cleanup agreements with the DEC (Tarrytown and White Plains Sites), an individual DEC consent order (Farrington Street Holder Station Site), or the Resource Conservation and Recovery Act ("RCRA") corrective action requirements of the previously discussed DEC hazardous waste management facility operating permit (Astoria Gas Works Site).

Due to the large number of sites covered by the 2002 Agreement, the DEC and the Company agreed on a prioritization strategy under which MGP Sites that were in the location of schools or residential properties

would be investigated first. Other priority sites besides schools and residential properties can and have surfaced primarily as a result of proposed redevelopment projects by present property owners or subsurface construction activities. The Company and the DEC reassess these priorities as sites are completed.

In 2017, the DEC notified the Company that, as an administrative matter, all cleanup agreements under the VCP statewide, including the 2002 Agreement, would be terminated in 2018 and transitioned into an alternative DEC oversight program. As a result, Con Edison entered into an Order on Consent and Administrative Settlement effective July 23, 2018 with the DEC ("2018 Agreement"). As with the 2002 Agreement, the 2018 Agreement covers the investigation and, if necessary, DEC/DOH approved remediation of the Company's MGP Sites. Those sites for which Con Edison successfully completed a remedy and received a No Further Action ("NFA") determination from the DEC under the 2002 Agreement are not included in and are not affected by the 2018 Agreement. Similarly, MGP Sites, or portions of sites, which had been taken into the New York State Brownfield Cleanup Program ("BCP") by individual property owners or were otherwise covered by a

program other than the 2002 Agreement, are not included in the 2018 Agreement. For those sites with ongoing investigation and remediation work, all prior DEC approvals of work plans or work completed under the 2002 Agreement remain valid. The fifth column (labeled "DEC Oversight Document") in Exhibit __ (EHS-4) identifies the current DEC oversight program for each MGP Site or portion of an MGP Site.

Q. What is the current status of Con Edison's MGP Program?

A. Because of the significant progress Con Edison has made investigating and, when necessary, remediating its MGP Sites, of the 47 MGP Sites covered under the 2002 Agreement, only 12 MGP Sites, parts of 7 other MGP Sites, and 3 offsite areas (associated with the East 21st Street Works Site, Pelham Gas Works Site, and Hunts Point Works Site) remain to be completed under the 2018 Agreement. Under other regulatory programs described earlier in this testimony, 2 additional MGP Sites remain in the Company's Remediation Program (Farrington Street Holder Station Site under its own Consent Order and Astoria Gas Works Site under the RCRA program). In addition, 2 MGP Sites (Hunts Point Works Site (onsite only) and Ludlow Street Works Site) and part of 3 MGP Sites (East 11th Street

Works Site, West 18th Street Gas Works Site, and Ossining Works Site) were transferred into the BCP to be addressed by the property owners. For 1 MGP Site (Hester Street Gas Works Site), four properties were administratively removed by the DEC from Con Edison's ongoing obligations as they were deemed to have not been part of the historical MGP operations.

The status of each of Con Edison's MGP Sites as of January 31, 2025 is summarized in an exhibit titled, "CONSOLIDATED EDISON COMPANY OF NEW YORK, INC. - UPDATED PROJECTION OF MGP SITE ACTIVITIES".

Q. Was this exhibit prepared under your direction or supervision?

A. Yes, it was.

MARK FOR IDENTIFICATION AS EXHIBIT __ (EHS-5)

Q. What does this exhibit show?

A. As discussed above in this testimony and indicated in Exhibit __ (EHS-5), Con Edison has made significant progress in investigating and, when found to be necessary, remediating its 51 MGP Sites. To date, based on investigations performed and, as necessary, remediation, the DEC has issued site-wide NFA determinations for 26 MGP Sites (one of which was

completed under the BCP by the property owner), NFA determinations for 2 onsite areas, and NFA determinations for parts of 5 sites. Long-term operation, maintenance, and monitoring ("OM&M") of remedies by the Company will be ongoing at 18 of the sites or parts of the sites (encompassing 76 properties) that have received NFA determinations or at which remediation is completed. For two additional sites (Rye Gas Works Site and Hastings-on-Hudson Gas Works Site), finalization of the environmental easement and site management plan ("SMP") are the anticipated final steps remaining prior to NFA determinations. At the Rye Gas Works Site, the environmental easement application and SMP are under review by the DEC. At Hastings-on-Hudson Gas Works Site-8 Washington Avenue, Con Edison recorded the environmental easement in January 2025, and will be providing the DEC with the requisite notice of recordation.

Q. What is the status and outlook at the MGP Sites for which there is remaining investigation or remediation work?

A. The investigation and, if necessary, remediation of the outstanding 15 MGP Sites, 3 offsite areas, and parts of 6 sites in the Company's Remediation Program (collectively

encompassing 68 properties) will continue into the future. Through the end of January 31, 2025, at a minimum, site characterization study ("SCS") or remedial investigation ("RI") work plans, covering all or portions of the remaining MGP Sites have been submitted to the DEC. Remediation work at sites where such action is deemed necessary by the DEC and DOH based on the results of the investigative work performed, will take longer to complete. At some sites, the remediation may not be completed until after the buildings and structures present on the sites are demolished.

The status of the required SIR activities for these 68 properties is as follows:

- Site characterization studies or RIs are ongoing at 4 properties.
- Remediation is currently required at 32 properties, including pre-design investigations ("PDIs") and design activities.
- Establishment of institutional controls (environmental easements, or in certain cases deed restrictions, and site management plans) has occurred or will be necessary for 32 properties.

Q. What specific MGP Site investigation and remediation activities does the Company expect to conduct during the Rate Year?

A. During the Rate Year, the Company plans to: (1) conduct supplemental investigations at several sites where additional information is required to characterize and delineate MGP-related or gas holder station-related contamination, and (2) proceed into the remediation phase at those sites where investigations have found that remedial action is warranted and sufficient information exists to determine the appropriate remedy. Additionally, we expect to conduct remedial action planning activities for several other sites. Exhibit EHS-5 identifies the current projection of activities at each of these MGP sites.

Q. Do you expect the Company to continue to conduct similar MGP Site investigation and remediation activities during the Linking Period, Rate Year and two subsequent years?

A. Yes, but it is expected that the number of sites being investigated will decrease during that period and the number of sites for which remedial planning/design activities or remediation work is performed will increase.

Q. What role does the DEC play in decisions relating to the scheduling of investigation and remediation activities for Con Edison's MGP Sites?

A. In order to coordinate workflow and resources with the DEC, under the 2002 Agreement, the Company was required to submit by November 15th of each calendar year, for DEC approval, a proposed schedule for the development and filing of draft investigation and remediation work plans during the following calendar year. Under the 2018 Agreement, although not specifically required to do so, the Company has submitted and plans to continue submitting a proposed schedule to the DEC at least annually by November 15th. The Company also submits to the DEC three-year site-specific projections of its planned activities for each of its MGP Sites, including the MGP Sites formerly covered by the 2002 Agreement and now covered by the 2018 Agreement. The projected schedule for the first year is presented on a quarterly basis and the projected schedule for the second and third years is presented for the entire year. These projections are also presented by work task type, such as: SCS, RI, remedial planning, and remedial action implementation. The purpose of these projections is two-

fold. First, they serve as a critical planning tool for the Company so that it can proceed with its required SIR activities in an orderly manner and make appropriate provision for the services and resources it needs to meet its obligations under the 2018 Agreement. Second, it provides the DEC with a workflow estimate so as to allow the DEC to best manage its resources.

Q. Has Con Edison submitted its proposed schedule of 2025 work plan submissions and its projected schedule of MGP site activities to the DEC for the period 2025 - 2027?

A. Yes. The Company made this submittal to the DEC on or about November 15, 2024, and subsequently updated certain of the project descriptions for this Rate Case filing in the "Current Status-4Q2024" column, as applicable. A copy is provided as EXHIBIT __ (EHS-5).

Q. Has the Company prepared a table comparing the projected calendar year 2024 MGP site activities specified in its November 2023 DEC submittal to the MGP Site activities actually performed in 2024?

A. Yes. A copy of this table is provided as an exhibit titled, "CONSOLIDATED EDISON COMPANY OF NEW YORK, INC. - 2024 MGP SITE ACTIVITIES AND VARIATION FROM PROJECTIONS".

Q. Was this exhibit prepared under your direction or supervision?

A. Yes, it was.

MARK FOR IDENTIFICATION AS EXHIBIT __ (EHS-6)

Q. What does this exhibit show?

A. Exhibit ___ (EHS-6) shows for each active MGP Site covered in the projected schedule the Company submitted to the DEC in 2023 for calendar year 2024 the investigation/remediation activities projected in the schedule, whether there was any variation or anticipated variation as of December 31, 2024 from the projected schedule (yes or no), and the reason(s) for any such variation.

Q. What were the primary reasons for the variations between the projected activities and the activities actually completed during calendar year 2024?

A. Variations were due to: (1) a third-party property owners' delay in granting access; (2) delays due to temporary changes in staffing levels and the need to reallocate resources to other priority projects; and (3) the DEC's requirement for additional PCB delineation at a site before Con Edison can finalize the remedial design and self-implementing clean-up plan.

Q. Has the Company discussed the schedule variations identified in Exhibit ___ (EHS-6) with the DEC?

A. Yes. Based upon discussions with the DEC, it is our understanding that the DEC is satisfied with the progress Con Edison has made implementing the SIR activities required for its MGP Sites. Of course, the DEC may comment on or recommend changes to our projected activities table, in which case Con Edison will evaluate the DEC's comments and recommendations and make any appropriate changes.

Q. What are the costs included in the Linking Period and Rate Year for MGP Sites?

A. The estimated costs for the Linking Period are approximately $51.4 million and for the Rate Year are approximately $47.9 million, as shown on Exhibit__ (EHS-2).

SUPERFUND SITES

Q. What types of sites are covered by Con Edison's Superfund Site investigation and remediation program?

A. Con Edison's Superfund Program covers the following categories of sites:

- Third-party-owned sites to which Con Edison shipped hazardous substances or waste for

treatment, storage, or disposal and for which Con Edison has been designated a potentially responsible party ("PRP") for the investigation and remediation of site contamination by the U.S. EPA, DEC, or another government environmental agency pursuant to the federal Comprehensive Environmental Response, Compensation and Liability Act ("CERCLA") or comparable state statutes, including statutes that impose liability for the costs of investigating and cleaning up oil spills;

- Sites formerly owned by Con Edison and for which the current site owners assert claims against Con Edison for investigation and remediation costs pursuant to CERCLA or comparable state statutes; and
- Sites (whether or not owned by Con Edison) not in other SIR programs at which Con Edison is required to conduct cleanup work because of releases of oil, dielectric fluid, PCBs, or hazardous substances from its or its predecessor companies' equipment, facilities, or operations.

Q. What is the status of the Superfund Program?

A. Con Edison has managed 32 Superfund Sites under its SIR Program. These include six sites for which Con Edison is not part of a group of PRPs and 26 where Con Edison was or presently is part of a group of PRPs. Of the six Superfund Sites for which Con Edison is not part of a group PRPs, the DEC has issued No Further Action ("NFA") determinations for two sites; remediation has been completed and an NFA is expected for one site; remediation has been completed and post-remediation operation, maintenance, and monitoring ("OM&M") activities are being implemented at two sites (one for which the Company is seeking an NFA determination from the DEC); and supplemental investigation is ongoing at one site.

Of the 26 sites where Con Edison is part of a group of PRPs, seventeen have been closed out and are inactive with no additional costs anticipated, and nine remain active. Since the Company's last Electric/Gas rate case, Cases 22-E-0064, 22-G-0065, the Berry's Creek Study Area Site ("BCSA"), a multi-party PRP site described below, has been added to Con Edison's Superfund Program.

Q. What are the costs included in the Linking Period and Rate Year for Superfund Sites?

A. The expected costs for the Linking Period are approximately $7.8 million and for the Rate Year are approximately $4.3 million.

Q. Has the Company prepared a table identifying the projected Superfund Program expenditures and activities during the Linking Period and the Rate Year?

A. Yes. The table provided in Exhibit __ (EHS-2) shows for each active Superfund Site covered in the projected schedule the Company portion of anticipated expenditures for the stated activities.

Q. Please discuss the Company's anticipated investigation and remediation activities during the Linking Period or Rate Year for its Superfund Sites with anticipated costs of $500,000 or more.

A. The following activities are anticipated during the Linking Period or Rate Year at the Company's Superfund Sites with projected costs $500,000 or more in either or both of those periods:

1. Gowanus Canal – On March 2, 2010, the EPA added the Gowanus Canal in Brooklyn (the "Canal") to its National Priorities List of Superfund Sites. Before

the site was listed, in August 2009, Con Edison received an EPA Notice of Potential Liability and Request for Information regarding its and its predecessors' operations at three facilities that are located adjacent to or near the 1.8 mile Canal: (1) the Third Avenue Yard, (2) the Gowanus Substation, and (3) the Gowanus Gas Turbines Site (which the Company sold in 1999). The EPA has identified 35 parties, including Con Edison (which EPA has indicated has facilities that may be a source of PCBs at the site) and four federal entities, as PRPs.

In September 2013, the EPA issued a Record of Decision ("ROD") that documented the agency's final decision on the scope and type of remediation required. EPA selected a remedy for the site that includes dredging and disposal of some contaminated sediments and stabilization and capping of contamination that will not be removed.

In 2014, the EPA issued orders to Con Edison and the other PRPs (with the exception of the federal PRPs) to be jointly and severally responsible for the performance of the remedial

design, which is currently estimated to cost approximately $115 million. EPA stated that it expected National Grid to perform the remedial design under the order and for the other PRPs, including Con Edison, to help fund the work.

In 2019, 20 PRPs, including Con Edison, concluded a binding allocation process before a neutral allocator to determine each PRP's share of the liability for the remedial design costs on a confidential basis. Because the final remedial design allocation percentage assigned to the Company during this binding allocation process is lower than the interim share that the Company had been funding since 2015, the Company was credited approximately $3,862,000. This "true-up" credit was provided to the Company during the period 2019 - 2021 in the form of credits against biennial remedial design assessments and cash refunds. Going forward, Con Edison anticipates receiving assessments for the remedial design work based on its final allocated share.

In 2019, EPA also issued a Unilateral Administrative Order (the "Bulkheads UAO") to 25

PRPs, including the Company, which was subsequently amended and requires the PRPs to: (1) design and perform bulkhead structural support work, including associated access dredging, along certain portions of the upper reaches of the Canal (in an area designated as Remediation Target Area 1 ("RTA-1"); and (2) complete the design work for bulkhead structural support along certain portions of the middle part of the Canal ("RTA-2"). It is currently anticipated that the cost of this bulkheads work in RTA-1 will total over $69 million.

In January 2020, the EPA issued a Unilateral Administrative Order (the "RTA-1 UAO") that requires six PRPs, including the Company, to initiate the remedial action work in RTA-1 following the completion of the bulkheads upgrade in RTA-1. In November 2020, the PRPs began implementation of the work required under this order. In the summer of 2024, dredging and stabilization in RTA-1 was largely completed at a cost of approximately $260 million. Cleanup in other areas of the Canal is not addressed by this order.

In June 2024, the EPA issued an order amending its January 2020 order that now requires six PRPs, including Con Edison, to initiate remedial action work in RTA-2. The EPA estimated that the cost of this work would be approximately $369 million (although actual costs may be significantly higher) and has indicated the work would take several years to complete.

On October 3, 2024, National Grid filed a complaint in the United States District Court for the Eastern District of New York with respect to the Gowanus Canal Superfund Site that names the Company and 39 other entities as defendants. The complaint asserts claims pursuant to CERCLA and the New York Navigation Law for cleanup costs incurred, and to be incurred, by National Grid at the Site. National Grid asserts that the total cost of the cleanup will exceed $1 billion. The case is captioned *Brooklyn Union Gas Co. v. Consolidated Edison Co. of New York, Inc., et al.*, E.D.N.Y. Civil Action No. 1:24-cv-06993. While this lawsuit is in its preliminary phase and its outcome is uncertain, the Company expects to vigorously defend against this litigation

and seek a fair, just and equitable allocation of the response costs among the PRPs at the Gowanus Canal Superfund Site that properly reflects the Company's very limited contribution to contamination in the Canal.

Going forward, Con Edison expects to contribute to the remedial design work based on the final remedial design allocation percentage assigned to the Company through the binding allocation process in 2019. With respect to the remedial action work, there has been no formal allocation process or agreement reached to date regarding the Company's allocation percentage. The Company has been contributing to the remedial action costs based on its 2019 remedial design allocation percentage and may continue to do so going forward until such time that a binding allocation percentage for the remedial action is established.

Therefore, at this time, Con Edison projects that it will incur costs during the Linking Period and the Rate Year for its allocated share of the remedial design costs, an interim share of the remedial action costs based on its remedial design

allocation percentage, and costs for ongoing outside consultant and legal support. During the Linking Period and Rate Year the Company estimates that it will incur approximately $6.4 million and $3.7 million, respectively.

2. Newtown Creek - Newtown Creek is a 3.8 mile long water body on the border between Queens and Brooklyn. It is a tributary of the East River and itself includes five branches (or tributaries) along its 3.8-mile reach. The EPA designated Newtown Creek a Superfund Site in September 2010 to address extensive pollution stemming from a long history of adjacent industrial operations (many involving oil and gas refineries and petrochemical businesses, among other historical industries). The Newtown Creek PRP Group, consisting of Phelps Dodge, Texaco, BP, National Grid, and ExxonMobil, has been conducting the remedial investigation ("RI") and feasibility study ("FS") of the site under EPA's oversight pursuant to an Administrative Settlement Agreement and Order on Consent with the EPA.

In May 2012, Con Edison received a request for information from the EPA under CERCLA Section 104(e)

requesting information concerning Company facilities and activities within 1,000 feet of Newtown Creek and its tributaries that may have resulted in spills or releases of hazardous substances into the Creek. The information request identified two Con Edison facilities: the "11th Street Conduit Facility" (a utility tunnel that traverses the Creek) and the Brooklyn head house of the tunnel. The Company submitted its response to the EPA's information request on October 5, 2012. The EPA served similar information requests on dozens of other parties at that time.

In June 2017, Con Edison, along with 7 other named parties, received a Notice of Potential Liability pursuant to CERCLA from the EPA. EPA's Notice generally alleged that Con Edison may be liable for releases of hazardous substances from the 11th Street Conduit Facility and Brooklyn head house, and from other electrical distribution infrastructure located within the Newtown Creek sewershed. Following receipt of the EPA notice letter, the Newtown Creek PRP Group contacted Con Edison and other named parties regarding possible

participation in the RI/FS for the site. In March 2020, Con Edison submitted comments to the EPA on the Newtown Creek PRP Group's Draft RI Report, which addressed factual and technical errors in the Report and provided updated data gathered by the Company pertaining to the nature and limited volume of effluent from the permitted discharge point for the 11th Street Conduit Facility. In March 2023, the Newtown Creek PRP Group submitted the final RI Report to EPA, which EPA approved. The current schedule anticipates completion of an FS for the site during 2027 and issuance of the EPA's ROD selecting a remedy for the site several years thereafter.

In January 2025, EPA approved a proposed early action response for Operable Unit 4, which is the East Branch tributary of the Creek located around Creek mile 3.0. The EPA estimates that the total cost to implement this Early Action remedy for the East Branch could be approximately $250 million.

During the Linking Period and Rate Year the Company expects that it will incur costs of approximately $414,000 and $500,000, respectively,

to evaluate factual and legal issues in response to the EPA notice letter and to continue evaluating the Company's potential responsibility for contamination at the site.

3. Third Avenue Yard: In 1925 a Con Edison predecessor Company purchased a 6.77-acre lot in Brooklyn. The lot has been used since then as a utility service center and work out yard for electric operations. Beginning in 1996, Con Edison investigated and remediated various portions of the property under the DEC's UST, spills, and remediation programs. In October 2016, at the DEC's suggestion, Con Edison submitted an application to enter the Third Avenue Yard into the New York State Brownfield Cleanup Program ("BCP") so that Con Edison could investigate and, if necessary, address any remaining contamination at the property through a single DEC program that would provide environmental closure for the entire property. In March 2017, the DEC executed a New York State Brownfield Cleanup Agreement with Con Edison for the entire Third Avenue Yard property.

During 2018 and 2019, Con Edison completed an

RI and prepared and submitted an RI Report to the DEC, which the DEC approved in December 2020. In March 2021, the DEC approved a Supplemental RI Work Plan. Con Edison completed the field investigation for the Supplemental RI in August 2022 and submitted a draft Supplemental Remedial Investigation Report to the DEC in December 2022. The DEC then required additional sampling, pursuant to the work plan Con Edison submitted to the DEC in December 2023 and approved by the DEC in August 2024. The additional investigation will include a round of groundwater sampling at a select group of existing monitoring wells, indoor/sub-slab vapor testing in the currently occupied buildings, delineation of PCBs in chip samples collected from the concrete warehouse floor, investigation under the vacant transportation building that is slated for demolition in 2025, and additional soil borings in the parking lot to further delineate detections observed during prior investigations. Con Edison initiated the additional investigation in September 2024. The Company anticipates completing it in the second quarter of 2025 and submitting a draft report to the DEC in

fourth quarter of 2025. In addition, in December 2024, the DEC requested that Con Edison complete a soil vapor intrusion ("SVI") investigation on nearby properties. Con Edison submitted an SVI investigation work plan to the DEC in January 2025 and will attempt to conduct the investigation during the current heating season (through March 2025), pending DEC review of the work plan. Depending on the final scope of this SVI investigation as required by the DEC, access to third-party properties may also be necessary.

The Company estimates that it will spend approximately $805,000 during the Linking Period and $90,000 during the Rate Year for this site.

Q. Why has the BCSA Site been added to the Superfund Program since the Company's last Electric/Gas Rate cases, Cases 22-E-0064, 22-G-0065?

A. On April 24, 2024, EPA sent Con Edison a Notice of Potential Liability and Request to Perform Response Actions for the BCSA. The BCSA is an approximately 6.5-mile-long tributary of the Hackensack River and is part of the Ventron/Velsicol Superfund Site located in Bergen County, New Jersey. The BCSA was contaminated over the

years by a number of industrial and disposal facilities that operated within the BCSA, including the Scientific Chemical Processing ("SCP") Site, which has separately been designated by EPA as a Superfund Site, and is where Con Edison allegedly sent waste material. The SCP site operated from the 1940s until 1980, when it was shut down. In the early 1970s, fuel blending, which entailed blending waste liquids and flammable wastes to create a secondary fuel for the cement and aggregate industries, was conducted at the SCP Site. The wastes from this process were not properly handled by the operator of the SCP Site, causing discharges that contaminated Berry's Creek. The allegation is that Con Edison sent waste oil to the SCP Site in 1972 that was used in this fuel blending process. Con Edison responded to an EPA CERCLA Section 104(e) request for information on the SCP Site in 1993, and was involved in litigation over the SCP Site in the 1990s as a third-party defendant. In September 1995, the court approved a settlement between the plaintiffs, the defendant former owners and operators, and certain third-party defendants (not including Con Edison) and administratively suspended the litigation, preserving claims to the extent not resolved by the settlement.

Since Con Edison was identified by the EPA as a customer of the SCP Site, the Allocator for the BCSA PRP Group contacted Con Edison in early 2024 asking the Company to participate in an Allocation/Settlement process for the costs to remediate the BCSA. At this time, Con Edison is in the early stages of investigating its alleged connection to the BCSA site, and has had a meeting with the Allocator regarding Con Edison's potential liability for the Site. It should be noted that the Allocation/Settlement process only covers the first portion of the remediation of the BCSA, which is currently estimated at $579 million. The Allocation/Settlement process does not cover Con Edison's potential liability for future remediation costs, natural resources damages, and costs for remediation at the upland areas of the SCP Site.

At this time, Con Edison estimates it will incur approximately $100,000 during the Linking Period, which includes an initial $25,000 to participate in the Allocation/Settlement process (which such funds will be applied towards any settlement) and $75,000 in fees for a consultant that is assisting the Company with respect to assessing potential liability. Con Edison anticipates

incurring approximately $25,000 in consultant fees during the Rate Year.

APPENDIX B SITES

Q. Please explain the requirements that the 1994 DEC Consent Order, as amended by the 2006 Consolidated Consent Order, imposes upon Con Edison for "Appendix B" sites.

A. Appendix B addresses spills and leaks of "petroleum products" from the Company's fuel oil storage tanks, No. 6 fuel oil pipeline system, high-pressure pipe-type electric feeders, and other types of oil-filled equipment. For sites at which such spills and leaks occurred, Con Edison is required to complete investigation and remediation pursuant to procedures and specifics set out in Appendix B. For each of those sites, the first step in the process is for Con Edison to identify the specific response measures that it implemented at the site when it first became aware of the release. If the DEC is satisfied that those completed measures are sufficient to support a determination on its part that no further action is required under the New York Environmental Conservation Law and Navigation Law, the DEC will close out the spill. For sites for which the DEC is unwilling to make such a finding, Con Edison

must either conduct additional cleanup work, additional investigation work, or both. The 2006 Consolidated Consent Order streamlined the administrative aspects of the Appendix B program to conform to the DEC's current guidance and eliminated references to sites that had already been closed out. It did not reduce the number of sites that remained to be addressed and did not materially affect priorities and projected costs.

Q. How many sites are covered by Appendix B?

A. Appendix B covered a total of 85 historical oil spill sites (not including the Appendix B site associated with the Astoria Site, which is addressed separately herein). At many of the sites, more than one spill occurred. Some of the sites are Con Edison facilities, although most sites are street locations where there were leaks from the Company's fuel oil pipelines or dielectric fluid-filled equipment or feeders.

Q. What is the current status of the 85 sites covered by Appendix B?

A. As of January 31, 2025, 69 sites have been determined by the DEC to require no further action. Additionally, six sites have been transferred with divested properties, with the new owners of the affected properties assuming

responsibility for the required investigation/cleanup work. As a result, there are 10 open Appendix B sites, which are being addressed in accordance with a DEC-approved Appendix B site prioritization schedule, as reflected in the 2006 Consolidated Consent Order. Of the 10 open Appendix B sites, Con Edison is not including any projected costs for three sites (Sites 1, 23, and 72) for the Rate Year as the Company has either completed remediation (Site 23) or will be requesting closure from the DEC based on data trends (Site 1 and Site 72).

Investigation and remediation activities at the Astoria Site, which includes an Appendix B site, are being performed under the Astoria Resource Conservation and Recovery Act ("RCRA") corrective action requirements of the DEC hazardous waste management facility operating permit for Con Edison's PCB Waste Storage Facility at the Astoria Site. Accordingly, the Astoria Site is not included in the 10 open Appendix B sites noted above.

Q. Please identify the open Appendix B sites that Con Edison must address under the 2006 Consolidated Consent Order.

A. The open Appendix B sites are listed in Exhibit __ (EHS-7), titled, "CONSOLIDATED EDISON COMPANY OF NEW YORK, INC. - LISTING OF OPEN APPENDIX B SITES," which also

specifies the location, DEC-approved priority, whether or not it is a Con Edison facility, and status of each site as of January 31, 2025.

Q. Was that exhibit prepared under your direction or supervision?

A. Yes, it was.

MARK FOR IDENTIFICATION AS EXHIBIT __ (EHS-7)

Q. Please discuss the Company's anticipated investigation and remediation activities during the Linking Period and Rate Year for its Appendix B sites.

A. As indicated in Exhibit __ (EHS-7), the 10 remaining open sites are either actively undergoing investigation and/or remediation, such as product recovery, or will have investigation or remediation work started as soon as the DEC approves the Company's proposed work plans for those activities. The Company presently projects that many of these investigations or remediations will be partially or completely performed during the Linking Period and Rate Year. The ultimate timing of the Appendix B projects depends on the findings of the ongoing and planned investigations and the status of DEC review and approval of work plans and reports. However, as the Company continues to request and receive no further action

determinations from the DEC for individual sites, Con Edison expects declining levels of effort and expenditures for the Appendix B sites during the Rate Year and into subsequent years.

Q. What are the expected Linking Period and Rate Year costs for the Appendix B sites?

A. The expected costs for the Linking Period and Rate Year are approximately $1.7 million and $0.8 million, respectively (excluding the Appendix B Site located on the Astoria Site, which is described in the next section).

ASTORIA SITE

Q. Please describe the nature of the investigation and remediation program for the Astoria Site.

A. On May 1, 1994, the DEC issued Con Edison a hazardous waste management facility operating permit for its PCB/Hazardous Waste Storage Facility at the Astoria Site. The DEC subsequently issued renewal permits on March 2, 2001 and July 7, 2008. A permit renewal has been submitted and is under review by the DEC. One of the conditions of this permit is to investigate and, if necessary, remediate, several Solid Waste Management Units ("SWMUs") and Areas of Concern ("AOCs") at the

Astoria Site, including those potentially contaminated with MGP residue. These areas also encompass an Appendix B site with several spills at the Astoria Site, which is one of the remaining open sites identified in the December 2006 Consolidated Consent Order between Con Edison and the DEC. The Company has investigated spills and several SWMUs and AOCs at the Astoria Site, including the site's North Storage Yard, Pipe Yard, Blue Dog Lake, Southwest Storm Sewer, Central Waste Treatment Facility, East Yard, Eastern Parcel, Former Pond Area, Purge Oil Pump House, Athletic Fields, and former MGP operating areas. Con Edison has performed interim corrective measures ("ICMs") at the Astoria Site pursuant to DEC-approved work plans that: (1) recovered oil from groundwater; (2) lined a brick sewer that had provided a pathway for oil to enter the East River; (3) removed contaminated soil or installed a clean soil cover in various areas of the site's Athletic Fields; (4) removed coal-tar contaminated soil from certain areas of the site's Pipe Yard, including measures in response to periodic coal tar seeps; (5) removed wastewater and sludge from two former manufactured gas holder tanks that were converted into, and are no longer used for,

neutralization, chemical precipitation and sedimentation facilities for the treatment of boiler chemical cleaning and other wastewater containing suspended solids and heavy metals; (6) installed, operated, and maintained a storm sewer treatment system to treat groundwater that infiltrates into the sewer; (7) removed soil contaminated with PCBs and other substances in the North Storage Yard and unpaved areas around the Transformer Repair Shop; and (8) encapsulated PCB-containing soil by constructing a containment wall in an area near the Transformer Shop to prevent the soil from running off into a storm sewer. In addition, in coordination with a capital improvement project to pave the East Yard and install improved drainage structures, the Company is removing soil contaminated with PCBs and other substances in the East Yard around the Transformer Shop. It is anticipated that this will be completed in early 2025.

Q. Please discuss the Company's anticipated investigation and remediation activities during the Linking Period and Rate Year at its Astoria Site.

A. During the Linking Period and Rate Year, the Company expects to do the following work at the Astoria Site:

(1) complete the DEC-approved ICM and repaving of the East Yard to address PCB-contaminated soil; (2) build on its completion of pre-design investigations ("PDIs") at the Purge Oil Pump House and Blue Dog Lake AOCs by conducting the associated feasibility studies ("FSs") and initiating the remedial design for these two AOCs; (3) revise the interim remedial measure ("IRM") implementation plan for the Pipe Yard in response to DEC comments and develop the technical specifications and design drawings for the Pipe Yard IRM; (4) continue to implement oil recovery ICMs at various SWMUs and AOCs; (5) continue to perform operations, maintenance and monitoring of remediated areas; (6) conduct a supplemental investigation associated with MGP impacts in bedrock around the New York Power Authority ("NYPA") property; and (7) conduct supplemental investigations for the Astoria MGP AOC.

Q. What are the expected Rate Year SIR costs for the Astoria Site?

A. The expected SIR costs for the Linking Period are approximately $6.8 million and for the Rate Year are approximately $2.4 million.

Q. Did you prepare a table of the projected Astoria Site activities and estimated expenses during the Linking Period and Rate Year?

A. Yes. The planned activities and associated costs during the Linking Period and Rate Year are listed in Exhibit __ (EHS-2).

UST SITES

Q. Please summarize the regulatory requirements applicable to the Company's UST Program.

A. Con Edison's underground storage tanks are regulated under both EPA and DEC regulations. EPA's regulations at 40 CFR Part 280 ("Technical Standards and Corrective Action Requirements For Owners and Operators of Underground Storage Tanks (UST)") require UST owners and operators to investigate known or suspected releases from their UST systems and, if necessary, to remediate the contamination caused by those releases under the direction of the implementing state agency (the DEC in New York). New York State regulations require UST owners and operators to report known or suspected releases from their UST systems and to address such releases to the DEC's satisfaction. Both EPA and the DEC have issued guidance documents describing these requirements.

Although the Company is not under a formal agreement (*e.g.*, an administrative consent order with the DEC) to investigate/remediate these sites, it is obligated to do so under these federal and New York State regulatory requirements.

Q. How many UST sites has the Company investigated and/or remediated?

A. Since the Company's UST program began in the late 1990s, the Company has investigated and/or remediated a total of 44 UST sites.

Q. Of these 44 sites, how many has the Company completed?

A. As of January 31, 2025, the Company has completed, and the DEC has issued No Further Action ("NFA") determinations for, 40 sites.

Q. How many UST sites are currently being addressed under the Company's UST Program?

A. Of the four remaining UST Sites, two sites (Third Avenue Yard Parking Lot Site and Rye Service Center) are being addressed in conjunction with work under other SIR programs (Superfund and MGP, respectively), and the Company is investigating or remediating the two other remaining sites under the UST Program. At one site (Atlantic Avenue Service Center) the USTs have been

removed, and the Company remediated soil containing residual petroleum in 2021 via in-situ chemical oxidation. The Company conducted groundwater monitoring through the fourth quarter of 2024, and will consult with the DEC during the Linking Period about whether the results would support an NFA determination. At a second site (Newtown Substation), the Company's routine groundwater monitoring and recovery of residual light non-aqueous phase liquid ("LNAPL") are ongoing. The gauging and groundwater monitoring data associated with this site indicate overall that the amount of LNAPL detected has diminished and the concentrations of dissolved volatile organic compounds ("VOCs") in groundwater are decreasing. However, measurable LNAPL remains in one well. The Company has completed a pre-design investigation ("PDI") to assess this further and is developing plans, in consultation with the DEC, for proposed in-situ treatment. During the Linking Period, the Company anticipates submitting a remedial action work plan ("RAWP") to the DEC. Upon DEC approval, the Company would implement the remedy for residual LNAPL, followed by post-remediation groundwater monitoring and reporting.

Q. Have you prepared a table identifying projected activities at UST sites and associated costs during the Linking Period and Rate Year?

A. Yes. The planned activities and projected associated costs during the Linking Period and Rate Year are listed in Exhibit __ (EHS-2).

Q. How much does the Company project it will spend on UST sites during the Linking Period and Rate Year?

A. The Company projects that it will spend $0.4 million during the Linking Period and $0.3 million during the Rate Year.

OTHER SITES

Q. Are there sites in the Company's SIR Program that are not included in the programs described above?

A. Yes.

Q. Please identify those sites for which the Company projects that it will incur costs during the Linking Period and the Rate Year.

A. There are a total of nine Other Sites, including five former substations, Dielectric Fluid Spill Sites that are not included in the Appendix B program (described further below), one former generating station (Richmond Terrace), one former Public Utility Regulating Station ("PURS"),

and one active substation (Hudson Avenue East Substation) that was added to the SIR Program in 2021 due to the discovery of elemental mercury contamination related to historical operations on the property predating the Company's ownership. While all these sites have projected costs during the Linking Period or the Rate Year, the Dielectric Fluid Spill Sites and PURS Site have only minor well decommissioning costs during the Linking Period since they both achieved No Further Action ("NFA") determinations in 2023.

Q. Please describe the Hudson Avenue East Substation Site.

A. In August 2021, Con Edison encountered visible elemental mercury while conducting excavation activities to support electrical infrastructure upgrades at the Company's Hudson Avenue East Substation located at 164 John Street in Brooklyn. The elemental mercury was observed on a subterranean historic brick and concrete wall encountered during the excavation and which is associated with operations at the property that pre-dated Con Edison's ownership and operations there. In coordination with the New York City Department of Environmental Protection and the DEC, stockpiled materials that had already been extracted from the excavation area were properly

prepared, transported and disposed at a licensed off-site facility as mercury-contaminated waste. The excavation was then lined with a geotextile layer and backfilled with clean fill as an interim measure. Subsequently, in 2022, Con Edison entered into an Order on Consent and Administrative Settlement with the DEC that provided a mechanism for conducting further investigation and determining whether an interim remedial measure ("IRM") to address the historical mercury condition was necessary. In 2022, Con Edison developed a Site Characterization Work Plan to investigate an area of approximately 760 square feet associated with the historical underground structure, which was considered to be an area of concern potentially contaminated with elemental mercury. Con Edison finished implementing the Site Characterization Work Plan in 2022 and submitted the Site Characterization Report to the DEC in 2023, which approved the report in January 2024. After receiving DEC comments on an earlier draft, Con Edison submitted a revised IRM Work Plan to the DEC in August 2024, subsequently received further comment, and submitted an addendum to the revised IRM Work Plan to the DEC in November 2024, which is pending DEC review. The IRM Work

Plan proposes removal of the subterranean structure, excavation of visually mercury-impacted soils, and backfilling with clean fill. At this time, the Company estimates that it will spend approximately $350,000 to remove the historic subsurface structure and soil containing elemental mercury.

Q. Have you prepared a table describing the projected activities and associated costs for these Other Sites during the Linking Period and Rate Year?

A. Yes. The projected costs and activities during the Linking Period and Rate Year are listed in Exhibit __ (EHS-2).

Q. How much does the Company project it will spend on these Other Sites during the Linking Period and Rate Year?

A. The Company anticipates that it will spend approximately $2.4 million during the Linking Period and approximately $2.4 during the Rate Year.

SIR PROGRAM COST SAVING EFFORTS AND PRACTICES

Q. What steps has Con Edison taken to control its site investigation and remediation costs and liabilities?

A. Con Edison has taken several actions and continuously evaluates potential new ways to control its SIR costs and liabilities while also working safely and efficiently to

complete its investigation and remediation work in cooperation with the DEC. These actions include:

- Development of Cost-Effective Remedies - When permissible under applicable laws and regulations, Con Edison pursues remediation objectives with regulatory agencies based on the present and contemplated future use of sites, so that the remedies selected by the agencies are not more stringent than necessary for such uses. For example, if the present and contemplated future use of a site is for industrial or commercial purposes, the Company attempts to negotiate remediation requirements consistent with such uses, rather than the more stringent remediation requirements for sites with residential uses. When desirable, cost effective, and permissible under applicable laws and regulations, Con Edison attempts to negotiate remediation work plans with regulatory agencies and third-party property owners that rely in whole, or in part, on post-remediation engineering or institutional controls to avoid more costly remediation to "unrestricted use"

standards, but still address environmental health and safety concerns. In addition, when investigation results show that remediation may not be necessary to protect human health or the environment, the Company advocates its position to the regulatory agencies that remediation requirements should not be imposed unnecessarily. Below is a recent example of the Company successfully developing and implementing a cost-effective remedy for a major remediation project in coordination with the DEC, third-party property owners and other interested stakeholders:

- **Pemart Avenue MGP Site OU-2:** The Company's Pemart Avenue MGP Site includes two operable units ("OUs"). OU-1 covers the upland areas, and the DEC-selected remedy was completed for that OU in 2022. OU-2 is the area of off-site contamination located west of the railroad tracks. It consists of the near-shore upland area and associated submerged sediments in the riverbed of Peekskill Bay. The OU-2 remediation required dredging of sediments

from Peekskill Bay, installation of a barrier wall to prevent non-aqueous phase liquid ("NAPL") migration, and NAPL recovery wells. The OU-2 geography and neighborhood posed a number of distinct challenges for the remedy. First, there is an active Metro North Railroad commuter line located within 50 feet of the work area. Second, the options for moving dredge material from the waterside barges to the landside for offloading, transportation and disposal off-site were limited, cumbersome and costly. Third, the site is near a mixed commercial/residential area and adjacent to Peekskill Landing Park, which is a municipal park that hosts events during the spring, summer, and fall. As a result, odor and vapor controls were required during dredging. To address these complexities in an efficient manner, the Company incorporated several cost effective, technology-based measures for the project. During the dredging phase of the project, all excavation equipment was required to have GPS guidance and tracking

systems capable of real-time visual monitoring of sediment removal and backfilling operations. This allowed target dredge and backfill limits to be reached more quickly and accurately, helping to minimize the risk for under-dredging or over-dredging. Hydrographic sonar surveys were also completed and certified by licensed surveying professionals to confirm the final removal and backfilling elevations to obtain the DEC's approval of the remediation. Throughout the project, Con Edison also utilized remotely operated drones, telemetry-based turbidity monitoring buoys, and dust and vapor monitoring devices to proactively monitor for compliance with the DEC's required parameters for turbidity, dust, and volatile organic compounds. In addition, wastes were managed and transported on barges and offloaded at a designated docking location along the Hudson River closer to the waste disposal facility in order to minimize truck traffic impacts to the nearby neighborhood and

reduce costs. The Company successfully completed this project in December 2024.

- Pre-Remedial Design Investigation and Treatability Studies - When appropriate, the Company performs pre-design investigations ("PDIs") to fill data gaps to refine the extent of remediation, develop cost-effective remediation work plans and specifications for regulatory agency approval, and better inform the competitive bidding process. In addition, where appropriate, treatability or pilot studies are performed to demonstrate the feasibility of proposed remedies before they are designed and implemented. Examples include:
  - **West 45th Street MGP Site:** In 2022, the Company conducted a supplemental PDI at the West 45th Street Gas Works Site that included an evaluation of the subsurface hydraulic conditions and sensitive structures and a bench-scale in-situ stabilization ("ISS") treatability study. This ISS study assessed the treatability and effectiveness of mixing NAPL-impacted site soils with the ISS

amendments to determine the most cost-effective treatment. The subsurface hydraulics modeling assessed the potential for post-remedy changes in groundwater flow direction and velocity flowing through the ISS area. The results of this modeling support eliminating the installation of additional monitoring wells after the remedy is implemented.

- **Maspeth Substation Site:** In an effort to develop a cost-effective permanent remedy for soil containing residual oil at this Site, in 2023 Con Edison implemented a PDI scope of work using an innovative drilling investigation method that includes a cone penetrometer ("CPT") integrated with an oil interface probe to identify layers where LNAPL (oil) could be trapped. The CPT contains sensors that allow continuous vertical mapping of soil lithology to identify permeable and impermeable layers. These technologies are used to define the environmental site conditions, simultaneously collecting geologic

and hydrogeologic data as well as information on the occurrence of separate-phase product (oil). Based on the results of this PDI, tighter formations appear to be limiting the mobility of the residual oil (which is located at depth)--indicating that oil at the site has been recovered to the degree feasible. Based on these findings and prior data collected, the Company submitted a PDI report in 2024 to the DEC, requesting that groundwater monitoring and recovery activities be discontinued and that institutional controls to notify the Company of future excavations in this area be put in place. The use of innovative investigation technologies at this site enabled the Company to recommend a less intrusive remedial alternative to the DEC which, if approved, would eliminate the need for costly excavation and disposal of soils, while continuing to protect human health and the environment.

- Seeking Permit Flexibility - As applicable, the Company seeks appropriate variances from permit

requirements to achieve project efficiencies. For example, in connection with the Pemart Avenue OU-2 dredging project discussed above, it was necessary to separate the sediment dredging work area from the surrounding Peekskill Bay in order to contain disturbed sediment within the work area and eliminate turbidity impacts to the surrounding waterway. The Con Edison project team successfully obtained approval from the DEC and designed, fabricated and installed a bottom seal filter barrier ("BSFB") in 2023 to surround the remediation work area. The BSFB measure was more cost effective than a traditional hard, physical barrier and reduced the permitting requirements for parameters such as turbidity that would have been associated with a hard barrier installation. Additionally, the project team received approval from the U.S. Coast Guard, DEC, and DOH for a streamlined reporting process that allowed for work to continue uninterrupted while still providing the necessary information to regulatory agencies.

- Forensic Analysis and Background Level Determinations - When appropriate, Con Edison performs forensic analysis of soil, sediment and product (*e.g.*, oil, gasoline, coal tar, total petroleum hydrocarbons ("TPH")) to differentiate contamination associated with Company operations or spills from contamination that may have been caused by others. The forensic analysis may involve fingerprinting the type of material present (*e.g.*, MGP waste, various forms of petroleum) or different formulations of PCB mixtures. When appropriate, the Company also performs sampling outside the suspected area of concern to determine site-specific background levels of contaminants for the DEC's consideration in its determination of the required scope of remediation. The Company has utilized this approach in the past at the Flushing Creek Superfund Site to successfully reduce the excavation area and volume of excavated soils during the remediation. Currently, the Company is taking a similar approach at the Farrington Street MGP Site to

demonstrate that incidental findings of PCB-impacted soils at the site are related to historical fill, rather than Con Edison's operations at the property.

- Evaluating Alternative Work Methods - For remedial construction projects, as appropriate, Con Edison evaluates potential alternative cost-efficient means and methods to meet the DEC's requirements. At the Flushing Creek Superfund Site, the DEC-approved remedy included the dredging and removal of sediments containing elevated concentrations of PCBs and placement of a clean cover. The work area for this site posed many logistical challenges due to very constrained access for traditional excavating equipment and watercraft, such as barges and barge-mounted excavators. Therefore, a more cost-effective dredging method using an amphibious excavator was selected with the DEC's approval. This alternative equipment was able to readily maneuver within the dredge area, and the duration of the work was substantially reduced.

- Combining Remediation with Site Redevelopment/ Construction - Whenever possible, Con Edison seeks to achieve cost savings by coordinating remediation work that requires soil excavation with the excavation work being performed by site developers as part of construction projects. By implementing required remediation work in conjunction with property owners' construction projects, Con Edison minimizes its expenditures by sharing or allocating, as appropriate, with property owners the costs of activities common to both the remediation work and the construction work. Such activities include mobilization and demobilization, general site preparations, sheeting and shoring, excavation dewatering, excavation labor, soil transportation and disposal, and back-filling. The following are several examples:
  - **Hunts Point MGP Site:** This site is the location of an approximately 204-acre former MGP that Con Edison operated in the Hunts Point section of the Bronx from 1926 until 1961. In 1968, Con Edison sold the former

grounds of the MGP to the City of New York (the "City"). The City has leased large portions of the site for use as the Hunts Point Cooperative Food Market and is seeking to lease additional sections of the site for similar use. The MGP investigation and remediation activities for most of the on-site parcels other than Con Edison's gas compressor station are being managed on the City's behalf by the New York City Economic Development Corporation ("EDC"). As discussed in more detail in Exhibit__(EHS-3), Con Edison and the City have entered into multiple agreements whereby Con Edison has agreed to reimburse the City for certain costs incurred implementing DEC-approved MGP investigation and remediation programs for certain parcels at the Hunts Point site. Con Edison and the City entered into the latest of these agreements in June 2023, which comprehensively covers all of the on-site parcels at which MGP investigative and remedial work remains. This approach allows for the investigation and remediation to be

conducted in a more cost-effective manner, since the City, as owner and landlord, can coordinate some of this work with redevelopment projects and tenant activities at the Hunts Point peninsula, as opposed to Con Edison needing to coordinate access and cooperation with the City and with each individual tenant.

- **Ludlow Street MGP Site:** This site, in southwest Yonkers, was covered by Con Edison's 2002 Agreement. In 2018, a developer entered the site and several surrounding parcels into the New York State Brownfield Cleanup Program ("BCP"), in place of Con Edison moving the site over to its 2018 Agreement. In September 2023, Con Edison entered into a confidential incremental cost reimbursement agreement with the developer.
- **Ossining MGP Site:** In 2024, a developer entered a portion of this site that was formerly owned by the Village of Ossining into the BCP, removing the property from Con Edison's 2018 Agreement with the DEC. In

March 2024, Con Edison entered into a confidential incremental cost reimbursement agreement with the developer.

- **East 11th Street and East 21st Street MGP Sites:** In the offsite coastal areas associated with the East 11th Street MGP Site and East 21st Street MGP Site on the lower east side of Manhattan, designated for each site as OU-2, the City of New York is in the process of implementing a project to protect areas vulnerable to coastal flooding, especially in the wake of Superstorm Sandy and sea-level rise associated with global climate change. In particular, the City is constructing significant storm mitigation structures, which are collectively referred to as the East Side Coastal Resiliency ("ESCR") project. The design of the ESCR project includes a subsurface barrier wall along the East River to help limit flooding to the area. For the nearby East 11th Street and East 21st Street MGP Sites, while the DEC has not yet formally selected a remedy for the OU-2 offsite coastal area, a likely component would involve the installation of an underground

barrier wall along the East River to cut off possible coal tar product movement into river sediments. Recognizing an opportunity for efficiencies by coordinating the planned ESCR construction and the offsite MGP remedy, Con Edison and the ESCR design team have coordinated with the DEC on the design of an ESCR barrier wall that would simultaneously function for flood mitigation and MGP coal tar containment. To serve this dual purpose, the DEC has required that the depth of a portion of the ESCR barrier wall adjacent to the MGP sites be extended beyond what is required by the ESCR floodwall design; that sheet piles and joints along the deep underground portion of this barrier wall be sealed with a coal tar compatible sealant; and that coal tar recovery wells, which Con Edison will operate, be installed along the barrier wall in conjunction with the ESCR project. Because this barrier wall is an integral part of the ESCR project and will be constructed as part of that work, Con Edison is not the primary designer or constructor of the barrier and will not bear the total costs for these efforts. Rather, pursuant

to an agreement that Con Edison and the City have been negotiating that is pending signature by the City, Con Edison anticipates reimbursing the City for those incremental costs paid by the City for the ESCR team's design and construction efforts to incorporate the DEC-required MGP remedy components into the ESCR barrier wall project.

- **Coordination with Company Construction:** The Company also coordinates remediation work with construction work at Company sites, where possible, to help minimize overall costs. For example, at the Astoria East Yard, the Company combined the PCB remediation activities with a capital project to upgrade the stormwater management system for the 5-acre transformer storage yard, resulting in cost efficiencies. Both projects required excavation within the same area of the property. Therefore, the Company performed the excavation component of the PCB remedy first to remove contaminated soil. The capital project then proceeded in the clean excavation area to install the new stormwater system, including backfilling and

site restoration. By coordinating in this manner, the remediation project did not bear the costs for site restoration.

Likewise, the Company is seeking a similar approach for the Appendix B, Site 14 Site. Remediation of petroleum contamination associated with two spill areas at Appendix B, Site 14 is required at Con Edison's former Hudson Avenue Steam Station property. The original DEC-approved remedy would involve excavation and disposal of impacted soils within these two spill areas, with post-remedial institutional controls remaining in place in the form of a Site Management Plan. Approximately 80% of the remediation areas associated with Appendix B, Site 14 fall within the footprint of the new Brooklyn Clean Energy Hub that Con Edison is constructing at the property to help interconnect with offshore wind. The excavation depth for the Brooklyn Clean Energy Hub redevelopment exceeds the required excavation depth for the remediation. Impacted soil in the remaining

approximately 20% of the remediation excavation areas is located outside the redevelopment area, which Con Edison proposes to excavate using a combination of equipment and manual methods due to the prevalence of subsurface utilities and structures. The Company submitted a revised remedial action work plan to the DEC in November 2024 identifying a combined redevelopment/remediation approach, which would take advantage of these synergies to result in cost savings to the SIR Program.

- Reuse of Excavated Materials – Whenever feasible and acceptable to the DEC and DOH, the Company reuses excavated soil and stone as backfill at remediation sites. Historically, such reuse resulted in cost savings at several remediation sites. Although material reuse has not been appropriate for more recent projects, the Company continues to consider it and its potential cost savings for Company remediation projects. The Company is now conducting a holistic evaluation of environmental regulations to identify

potential sustainable practices to enhance material reuse (e.g., use of a clean soil bank) and the feasibility of reducing the toxicity of hazardous wastes by treating the waste in-situ to make it non-hazardous prior to disposal.

- Cost-Effective Investigations - When appropriate and acceptable to the DEC, Con Edison incorporates "step-out" procedures in its site characterization study and remedial investigation work plans. These procedures allow Con Edison's project manager and the DEC's project manager to expand the scope of an investigation while field work is being performed and help eliminate remobilization and multiple rounds of investigations and reporting. Broadening the scope of investigation while field work is in progress also helps minimize the need to prepare additional work plans and conduct subsequent rounds of investigation.
- Competitive Procurement - The Company competitively bids all remediation projects, retains qualified contractors, performs third-party bid check estimates and follows its

comprehensive procedures, including remediation contractor management protocols, so that project work is performed properly and cost effectively.

- Engineering/Constructability Reviews – In an effort to optimize bid documents for complex projects (*i.e.*, those projects that may be using new technology, involve multiple engineering disciplines, or require special considerations due to the property use or layout), Con Edison has employed third-party engineering consultants to review draft remediation plans and specifications. For each remediation project, internal constructability reviews are conducted with the Construction Management ("CM") group and EH&S Remediation project manager.
- Bundling Similar Work into One Contract - Bundling similar remediation work into one contract helps provide both cost savings and efficiencies. For example, in April 2020, the Company competitively bid and bundled under a single contract routine groundwater monitoring and reporting at several similar legacy spill sites. This helped streamline and coordinate

field events and provide for consistent reporting. Following a similar approach, monitoring wells which can be decommissioned after receipt of a no further action ("NFA") determination or after the DEC has determined that such wells are no longer needed at such sites, were bundled across multiple sites and competitively bid under a single contract in March 2021.

- Maintaining Experienced Staff - Con Edison continues to staff the EH&S Remediation Department with experienced and dedicated employees. The department consists of 11 employees — a Director, a Department Manager, and a total of nine Project Managers. All members are engineers or scientists; hold bachelor's or master's degrees; and have experience in the field of remediation, with experience in the utility, chemical, laboratory, manufacturing, petroleum, transportation, mining, and construction sectors. These seasoned engineers and scientists, many recognized as subject matter experts, serve as project managers and work

closely with qualified consultants and contractors to develop and implement work plans and specifications, consistent with applicable government agency requirements. The Company also has a specialized Construction Department that manages remedial construction contractors. Construction staff is specially trained to perform constructability reviews of remedial design plans and specifications, to manage these types of contracts and contractors, and to oversee the contractor's field work. In some situations, internal constructability reviews are augmented by engineering consultants (other than the ones preparing the design). Use of experienced in-house staff provides Con Edison with the capability to plan proactively for anticipated project challenges and to handle effectively and timely respond to unexpected conditions or issues.

- Participation in External Organizations - Con Edison actively participates in national and state industry forums and research organizations, such as the MGP Consortium, the Utility Solid

Waste Activities Group ("USWAG") Remediation & Response Committee, the Environmental Energy Alliance of New York ("EEANY"), and the Electric Power Research Institute ("EPRI"), so that it obtains the benefit of other utilities' experience and knowledge and its in-house staff keeps abreast of evolving regulatory requirements and technical developments in the remediation industry. Con Edison supports activities of these organizations that have direct impact on pending and future remediation projects. In one case, Con Edison supported a study that helped answer questions about the use of ISS in sediments, which could provide a substantial cost-saving remedial alternative for addressing contaminated sediments as compared to the more traditional remedy of sediment dredging. In another, the Company was the prime participant in an EPRI study to develop risk-based TPH Soil Cleanup Objectives ("SCOs") for dielectric fluids typically used in pipe-type electrical transmission feeders, because the DEC did not have any SCOs for TPH. During this study, EPRI

and Con Edison worked closely with the DEC to develop the work scope and discuss the study results. Con Edison submitted the EPRI Report to the DEC, which approved EPRI's recommended SCOs for these fluids. These SCOs are now used in the Appendix B Program described earlier in our testimony. The Company's research and development department funded the costs for participating in these two EPRI studies. In addition, some of these organizations (*e.g.*, USWAG, EEANY) comment on regulatory proposals to obtain more reasonable, more flexible, and less costly requirements. Examples include EEANY's comments on the DEC's proposed revisions to its Part 375 regulations in 2021 and 2024; EEANY's comments on the DEC's proposed revisions in 2024 to its Commissioner's Policy 51 on Soil Cleanup Guidance, which would expand the definition of grossly contaminated media in a manner inconsistent with previously accepted methods for identifying mobile NAPL at MGP and petroleum sites; EEANY's discussions with the DEC on the bioavailability of MGP waste constituents in

sediments; EEANY's development of a statewide indoor air database at MGP sites to support a demonstration that indoor air should not be a concern at MGP sites; and USWAG's submittal of information to the EPA to support continuation of the hazardous waste exemption for MGP waste that fails the Toxicity Characteristic Leaching Procedure ("TCLP") for benzene. This hazardous waste exemption allows MGP waste that fails the TCLP for benzene and does not exhibit any other hazardous waste characteristics to be disposed of as non-hazardous waste at thermal treatment facilities instead of being disposed of as hazardous waste at much more expensive hazardous waste incinerators. USWAG and other industry groups have been instrumental in convincing the EPA to allow certain UST wastes that fail the TCLP for only benzene to be managed as non-hazardous waste. As a result, the DEC has adopted the EPA exemptions for MGP and UST remediation waste in its regulations or guidance. The EPA exemptions and DEC guidance have resulted in significant savings in MGP and UST site

remediation costs. Furthermore, USWAG and other industry groups were successful in convincing the EPA to defer land disposal restriction treatment standards for PCBs for hazardous waste soil in most cases. The DEC has adopted EPA's deferral, which has allowed some hazardous waste soil with PCBs to be landfilled instead of incinerated, resulting in significant cost savings.

- Insurance Cost Recovery - Con Edison puts its excess liability insurance carriers on notice of demands by the EPA and the DEC that the Company pay for or implement site investigation and remediation work. It also pursues indemnification of the costs of such work with its excess liability insurance carriers. The Company has received insurance reimbursement payments totaling more than $18 million from its excess liability carriers since 1998. When necessary and appropriate, the Company pursues litigation against insurance carriers that deny or reserve coverage for such costs. To date, the Company's litigation efforts against its excess liability insurance carriers (and those of other

potentially responsible parties for sites) for the Company's Superfund sites have resulted in settlement proceeds of approximately $6.5 million. For MGP Sites, the Company's insurance litigation (which included an appeal by Con Edison to the New York Court of Appeals for the Tarrytown MGP site litigation) has resulted in settlement proceeds of more than $45.2 million. As noted above, other than potential liquidation distributions for The Home Insurance Company, no other insurance recovery for the SIR program is anticipated at this time.

- Liability Transfers and Claims for Indemnification – Con Edison attempts, where possible, to transfer environmental liability for future remediation costs in agreements with third parties in connection with the sale of real property or other assets and seeks indemnities for such future liabilities. For example, in 2019, the Company sold the properties that comprised the former Kent Avenue Generating Station in Brooklyn to a third-party. Under the contract of sale, the third-party purchaser

assumed responsibility for all ongoing operation, maintenance, and monitoring ("OM&M") associated with the remedy that Con Edison had implemented at the site, including compliance with the Site Management Plan ("SMP").

- Identification of Other Potentially Responsible Parties ("PRPs") - Con Edison attempts to identify other PRPs and, when appropriate, attempts to recover investigation or remediation costs from such entities. For example, Con Edison instituted Comprehensive Environmental Response, Compensation, and Liability Act ("CERCLA") response cost contribution litigation against the successor in interest to UGI, the Philadelphia-based utility holding company that during the late 1800's held controlling interests in the local companies that operated most of the MGPs in Westchester County including three MGPs in Yonkers. The judicial determinations in that proceeding allowed the Company to obtain a settlement with UGI (requiring UGI to pay part of the Company's future costs for two of the three Yonkers MGPs). In addition, the Company attempts

to identify other potential contributors of hazardous substances for EPA's use in identifying other PRPs at Superfund sites with anticipated very large remediation costs. For example, the Company worked with EPA to help identify several potential contributors of hazardous substances to the Gowanus Canal Superfund Site.

- Participation in PRP Groups - Con Edison generally participates in Superfund Site PRP Groups to (1) encourage them to negotiate consent decrees and orders with the government that equitably allocate liability among all financially viable PRPs; (2) seek efficiencies by sharing certain common expenses with other PRP Group members, such as for environmental consultants; and (3) when warranted, institute CERCLA cost contribution actions against recalcitrant PRPs. Most recently, the Metal Bank Superfund Site PRP group successfully challenged a claim for natural resource damages asserted by both the State and federal natural resource trustees ("Trustees"), resulting in a November 2021 agreement by the Trustees to settle a claim

they originally valued at $8.35 million, for $950,000. In addition, at both the Gowanus Canal and Newtown Creek Superfund Sites, the Company has been working with groups of PRPs to share the costs of environmental consultants to evaluate common technical issues and potential allocation of responsibility. Finally, at the Pure Earth Superfund Site, the Company worked with a group of PRPs to share the costs of a project coordinator and a remedial contractor to successfully complete a remedial action required pursuant to a 2020 EPA Administrative Settlement Agreement and Order on Consent for Removal Action.

- Waste Treatment, Storage, and Disposal Facility ("TSDF") Audits - To help minimize the risk that it will become a PRP at newly listed Superfund Sites, Con Edison has established a list of acceptable TSDFs and periodically reevaluates that list. Any new TSDF must be approved by the Vice President of EH&S before it is used. The Vice President grants such approvals only after the proposed new facilities are determined to be

necessary (*e.g.*, to meet increased capacity needs for disposal of a particular waste type or to provide significant cost savings) and meet acceptance criteria (*e.g.*, robust waste acceptance procedures, solid record of compliance with regulatory requirements, adequate spill/release prevention systems in use, low potential for groundwater/soil contamination). All proposed new TSDFs are first evaluated by a steering committee with representatives of EH&S and other Company operations, which makes recommendations to the Vice President of EH&S.

- Due Diligence in Property Transfers - To help minimize the potential that property transfers might result in significant SIR costs, the Company extensively evaluates properties for prospective sale and purchase to identify potential environmental risks using environmental site assessment procedures. As described in the "Other Sites" section of this testimony, Con Edison actively assesses the conditions of its properties, and when necessary, remediates properties before a prospective sale to help

minimize potential ongoing environmental liabilities.

SIR PROGRAM PROCESS

Investigation Process

Q. Please describe the process that Con Edison follows for the investigation of its SIR Program sites.

A. The SIR Program Process is divided into four basic phases which start with project initiation and conclude with final site closure issued by the governing regulatory agency. The processes that are implemented during each of these phases are described below for the MGP Sites, followed by application to the other SIR programs. The basic phases of the SIR process are similar for the MGP and other SIR programs.

The Company begins the SIR Program Process with a paper study to determine if there are recognized environmental conditions that are likely to exist and require further investigation. In most situations, due to the historic operations of the sites, this study is conducted as the first part of the investigation. The process is governed by Con Edison's 2018 Agreement (and, previously, the 2002 Agreement), and the administrative consent orders ("ACOs") and New York State Brownfield

Cleanup Agreements (“BCAs”) that Con Edison has entered into with the DEC for sites not covered by the 2018 Agreement (collectively, the “MGP Agreements"). Depending on the conditions encountered at a site and the results of each investigation, the process may include multiple rounds of investigations. Each step of the process is subject to the review and approval of the DEC and DOH and must be conducted consistent with applicable regulations, guidance and policies. To facilitate the development of its site investigations, Con Edison conducts detailed historical reviews of its and its predecessor companies’ operations at each of its MGP Sites. The results of these reviews enabled the Company and its consultants to pinpoint the locations of the gas production/purification equipment, feedstock/residual processing and storage facilities, and other areas of potential concern at each MGP Site. This allows the Company’s investigation sampling efforts to focus on these locations. In addition, Con Edison has prepared a DEC-approved Citizen Participation Plan (“CPP”) for its MGP Program that was updated under the 2018 Agreement. The CPP describes the procedures that Con Edison will follow to communicate to interested citizens and elected

officials about the investigation and remediation activities that the Company is required to undertake for its MGP Sites under its MGP Agreements. The Company modifies the CPP to address site-specific circumstances as required by the DEC.

The Company also performs investigation and remediation projects for other types of SIR sites. For federal Superfund Sites, the procedures, policies, regulations, and guidance documents that the Company must follow are specified in the ACOs and consent decrees that the Company has entered with the EPA. For New York State Superfund Sites and Appendix B sites, the required process and protocol are governed by Con Edison's BCAs and ACOs with the DEC. For the Astoria Site, the procedures and protocols are governed by the DEC operating permit discussed earlier in this testimony and the DEC regulations implementing the Resource Conservation and Recovery Act ("RCRA"). For UST sites, the required procedures and protocols are specified in EPA and DEC regulations and guidance. For other SIR sites, the required procedures and protocols are specified in DEC regulations and guidance.

While there are some differences in the specific investigation process for each of these types of sites, the goal of the process applicable to each such site is the same - the scope of the investigation will characterize and delineate the nature and extent of a site's contamination with sufficient specificity to support a determination by the DEC, DOH, and/or EPA as to whether remediation is necessary to protect human health and/or the environment from the risks posed by the contamination and, if remediation is needed, to assess and determine the scope of the required remediation activities.

For sites with no government involvement or only partial government involvement (*i.e.*, many of the sites included in the Other Sites category), the Company makes decisions concerning site investigation and remediation in compliance with the inventory of best practices for SIR programs. The Company pursues cost-effective remedies based on the current use and contemplated future use or re-use of the sites and their zoning, considering applicable regulations, guidance, and potential health and environmental impacts, with the goal of readying

these properties for sale and minimizing potential long-term environmental liabilities for the Company.

The first step of the investigation process under the MGP Agreements is to conduct a DEC-approved site characterization study ("SCS"), which is a subsurface investigation to evaluate whether there is evidence of historical MGP-related contamination in the soil, soil vapor, or groundwater at a site. DEC-approved SCS work plans focus on site areas that were the former locations of MGP structures that produced or stored feedstock or residual materials capable of causing environmental contamination. These structures include ammonia wells, condensers, gas holders, oil and coal tar storage tanks, relief holders, and tar wells. The Company identified the locations of these types of facilities as part of the detailed historical review it performed before entering into the 2002 Agreement with the DEC. As required by the DEC and DOH, a draft SCS work plan must include site background information, including the known/suspected locations of former gas production and storage structures, prior investigation findings, if any, and the proposed work scope (*e.g.*, soil boring and test pit locations, soil vapor sampling, groundwater monitoring

well installation, air monitoring, and laboratory analytical requirements).

Based upon the historical information that the Company has compiled for the manufactured gas production and/or storage operations formerly conducted at an MGP Site and the input and guidance provided by the Company's EH&S site project manager, Con Edison's environmental consultant prepares a draft work plan for the Company's review. The Company's EH&S site project managers actively communicate with the DEC and DOH site project managers and the Company's consultants during the preparation of draft SCS work plans. Such communication increases the likelihood that the draft plans will meet the DEC's and DOH's requirements, as well as the Company's expectations. After making any revisions based on the Company's EH&S site project manager's review, the Company submits the draft SCS work plan to the DEC for its review and approval. The DEC will solicit input from the DOH.

Once the draft work plan has been approved by the DEC and DOH, the SCS field work may begin. A fact sheet is typically prepared for distribution to appropriate stakeholders prior to the start of the SCS fieldwork.

For sites no longer owned by Con Edison, the Company must obtain the property owner's consent in the form of an access agreement before the SCS fieldwork commences. The negotiation of access agreements for these sites can be a challenging and time-consuming process due to the nature of the operations currently being conducted on them, such as schools, hospitals, apartment building complexes, public parks, and commercial businesses. Access agreements for such sites typically include provisions specifically developed so that the SCS field work does not unduly interfere with on-going site operations.

Upon the completion of the SCS fieldwork, the Company submits a report to the DEC and DOH for their review and approval. Depending on the findings of the SCS, these agencies will determine which of the following three steps is the most appropriate for a site:

- A No Further Action ("NFA") determination is required because there is no evidence of MGP-related impacts that warrants further investigation or remediation;

- Additional investigation is required to better characterize and delineate the nature and extent of the MGP-related impacts present on and around the site; or
- Remediation is necessary to address the MGP-related impacts that have been sufficiently characterized and delineated, and the Company must proceed with the development/evaluation of remedial alternatives.

A remedial investigation ("RI") refers to the second and subsequent rounds of investigation beyond the SCS. More than one round of on-site investigation and, in some cases, off-site investigation may be necessary to define the contamination with a sufficient degree of certainty to support the assessment of potential remedial alternatives and the development of a remedial action work plan ("RAWP") incorporating the remedial activities that the DEC and DOH deem appropriate. The RI process is similar to that for SCSs, with community outreach and, when the work is done at a third party-owned property, access agreement negotiations. RI work plans must be approved by the DEC and DOH.

After the RI fieldwork and sample analyses are completed, the Company submits a draft RI report to the DEC and DOH for their review and approval. Based on the results of the RI, these agencies will make one of the three determinations specified above in our discussion of the SCS process.

Remediation Determinations

Q. Under what circumstances does the DEC and DOH typically require the remediation of site contamination?

A. The DEC and DOH require remediation when they determine that the contamination present at a site presents a current or potential future significant threat of harm to public health and/or the environment or is necessary to meet statutory or regulatory goals and objectives. This determination is made based on the results of the SCS and/or RI for a site. Regarding potential public health impacts, DOH will consider whether potential complete exposure pathways have been identified at the site during the investigation work.

Q. Do the DEC and the DOH consider costs in determining whether remediation is required?

A. No. Their determination is made solely based on whether remediation is required to mitigate a current or

potential future significant threat of harm to public health and/or the environment or to meet statutory/regulatory goals and objectives. If they find such threats to exist or remediation of the contamination is necessary to achieve statutory and regulatory goals/objectives, remediation must be performed.

Q. Do costs play any role in the remedy selection process?

A. Yes. While the DEC and the DOH do not consider economic impacts as one of the two threshold criteria in determining whether and to what extent remediation is required, the DEC's regulations and guidance documents permit consideration of costs in evaluating remedial alternatives. Under those regulations and guidance documents, "cost effectiveness" is a secondary permissible criterion for such evaluations and can be considered by the DEC when it evaluates and determines whether to select one of two or more remedial alternatives that are protective of human health and the environment and that are consistent with applicable and relevant rules, regulations, policies and guidance. For example, under the DEC's regulations and guidance documents, the goal of remediation is to restore sites to their pre-contamination condition to the extent that it

is technically feasible to do so. If this goal cannot be met, the remedy selected must, at a minimum, adequately protect human health and the environment, and include technically feasible remediation measures for so-called "source materials", such as free coal tar, coal tar-contaminated soil, and purifier waste. If two or more competing remedial alternatives can meet all these goals and are essentially equivalent in addressing non-cost-related criteria, the DEC can select the least costly alternative. The criteria used by the DEC in evaluating remedial alternatives are described in more detail in our testimony below concerning the remedial planning process.

Remedial Planning Process

Q. Please describe the remedial planning process that Con Edison must follow for SIR Program Sites for which the DEC and the DOH or EPA have determined that remediation is required.

A. Under the MGP Agreements, ACOs or BCAs for New York Superfund Sites, Appendix B, and the hazardous waste management facility operating permit for the Astoria Site, once the DEC and DOH determine that remediation is required, Con Edison is required to identify and evaluate potential applicable remedial alternatives for the DEC's

and DOH's review and approval. In the case of federal Superfund Sites, Con Edison must identify and evaluate potential applicable remedial alternatives for EPA's review and approval.

Q. For sites at which remediation is required, please describe the process the Company follows in its development of proposed remedial alternatives.

A. We will focus on the specific process for MGP Sites. However, the process applicable to other types of SIR Program sites is similar.

For MGP Sites, Con Edison must prepare an Alternatives Analysis Report or Alternatives Analysis and Proposed Remedial Action Work Plan (each an "AAR") for the DEC's and DOH's consideration and approval. In that AAR, Con Edison must identify potential remedial alternatives, screen them to determine which alternatives appear technically feasible to implement, and then assess the feasible alternatives using the evaluation criteria discussed below.

The first step in the AAR process is to meet with the DEC and DOH to discuss their views on the general parameters of what they believe would comprise an approvable remediation program for a site, given the

site's use and the extent of the contamination present. For sites no longer owned by Con Edison, meetings are also scheduled with the site owners to identify any changes in site use being considered by them. These meetings are essential to understanding the perspective of the regulatory agencies and property owners, so that Con Edison does not expend time and resources pursuing "dead ends."

Pursuant to the DEC's requirements, the AAR must identify potential remedial alternatives and evaluate them against the following criteria in order to determine which alternative is the most appropriate based on all the relevant factors. The first two factors listed below are referred to as "Threshold Criteria" that must be satisfied for an alternative to be considered for possible selection. The next five are referred to as "Primary Balancing Criteria" and the last two are referred to as "Modifying Criteria." The Primary Balancing and then Modifying Criteria are used to compare the remedial alternatives that satisfy the Threshold Criteria.

Threshold Criteria:

- overall protectiveness of public health and the environment; and
- compliance with standards, criteria, and guidance.

Primary Balancing Criteria:

- long-term effectiveness and permanence;
- reduction in toxicity, mobility, or volume of contamination through treatment;
- short-term impacts and effectiveness;
- implementability; and
- cost-effectiveness, including capital costs and annual site maintenance plan costs. According to DEC guidance, "this criterion is an evaluation of the overall cost effectiveness of an alternative or remedy" and "a remedy is cost effective if its costs are proportional to its overall effectiveness."

Modifying Criteria:

- community acceptance; and
- State acceptance based on current, intended and reasonably anticipated future land use (when a

complete remediation to unrestricted use levels would not be achieved).

If the DEC and DOH do not find the Company's draft AAR to be approvable, these agencies will inform the Company of their reasons for disapproval and specify the revisions that the Company must incorporate into the draft AAR. For example, the DEC or DOH may prefer a different alternative to the one recommended by the Company. Once the DEC and DOH deem the AAR to be approvable, a notice will be published in the State's Environmental Notice Bulletin for a 30-day public comment period (45 days for sites in the New York State Brownfield Cleanup Program). A public meeting is held at which the DEC, DOH, and Con Edison present the recommended remedial alternative and receive comments from the public. Con Edison will distribute a fact sheet to stakeholders announcing the availability of the AAR and the public meeting.

Q. Does Con Edison make the final decision on which remedial alternative must be implemented for site being addressed under government oversight?

A. No. While it may suggest remedial alternatives, Con Edison does not make the final decision on which remedial alternative must be implemented; that decision is made by

the DEC (or EPA for federal Superfund Sites). After the close of the public comment period, the DEC will formally approve the AAR. Depending on the comments received, the AAR may be revised to reflect public input. Community acceptance is one of the criteria considered by the DEC in the selection of an approved remedy.

Q. How are remediation decisions made for sites with no or only partial government oversight, as is the case for many sites included in the Other Sites category?

A. For these sites, Con Edison complies with the inventory of best practices for SIR programs, and pursues cost-effective remedies based on current use and contemplated future use or re-use of sites and their zoning, considering applicable regulations, guidance, and potential health and environmental impacts, to prepare these properties for sale and help minimize potential long-term environmental liabilities for the Company. Remediation decisions are made by an internal team that includes the Company's EH&S, Real Estate, and Law Departments.

Q. Is the selected remedial alternative sometimes implemented by third-party property owners instead of the Company?

A. Yes. For properties undergoing redevelopment, the Company and the property owner/developer may enter into a cooperation agreement to coordinate remediation and site redevelopment and share costs. By cooperating and implementing required remediation work in conjunction with a property owner's construction project, Con Edison can achieve cost savings by sharing with or allocating to the property owner the cost of activities common to both remediation and construction work. This includes such high-cost items as, sheeting and shoring, soil excavation, dewatering, soil transportation and disposal, and back-filling. In such cases, Con Edison would have an oversight role to see that the remedy is being properly implemented in a cost-effective manner. In the case of federal Superfund Sites in which the Company is a member of a Potentially Responsible Parties ("PRP") Group, the PRP Group may implement the selected remedy.

Q. Does agency approval of a remedial alternative mark the end of the remediation planning process?

A. No. The decision documents that the DEC or EPA issue when they select and approve a remedial alternative for a site generally contain only summary information about the remedial alternative. Depending on the complexity of the

remedy and the site, the DEC will require Con Edison to prepare either a RAWP or detailed remedial design for the DEC's and DOH's approval. A detailed remedial design is typically required for the more complex remedies/sites. As part of these designs, the DEC generally requires the development of a remedial design package containing drawings, plans, and specifications to implement the selected remedial alternative. In some cases, additional studies or investigations may be required. For example, if the DEC requires groundwater treatment to meet a specified cleanup level, Con Edison may conduct bench-scale laboratory studies needed to design the treatment system required to meet the remedial objectives. The detailed drawings, plans, and specifications for construction of the selected remedial alternative are subject to DEC/DOH review and approval.

Remedial Construction Process

Q. Please describe Con Edison's remedial construction process.

A. The Construction Management ("CM") Department within Con Edison's Construction organization is responsible for supporting the efforts of Con Edison's EH&S Department to manage the remedial construction phase of remediation

projects. Remedial design plans and specifications and engineer's cost estimates are prepared by the Company's environmental engineering consultants working jointly with the EH&S project manager and CM. Depending on the estimated cost of remediation, pre-qualified remediation contractors at one of three cost categories will be used to solicit technical proposals and bids for the performance of the remedial construction work. For relatively small and straightforward projects, a technical proposal and associated technical evaluation may not be required.

Additional information concerning review of technical proposals is provided later in our testimony, in the Internal Staffing and Consultants/Contractors section. After the award of a purchase order ("PO") to the selected remediation contractor, CM will manage the contractor's performance of the work with the EH&S Remediation project manager participating as a key member of the team. The DEC generally has an inspector assigned to sites for which significant remedial construction work is required to confirm to its satisfaction that the Company is complying with the requirements of the approved remedy and design specifications, and to

participate in project team meetings. For projects entailing less significant remedial activities, the DEC inspector will typically visit the sites periodically. In addition, the Con Edison environmental engineering consultant that prepared the approved design and bid specifications will be present to see that the agency-approved remedy and design and bid specifications are implemented properly, and to obtain information needed to prepare the remediation report (sometimes referred to as the final engineering report) and, in some cases, to perform air monitoring and/or post-excavation soil sampling.

As discussed previously in our testimony, when remediation is to be performed at third-party sites, the Company must enter into an access and cooperation agreement with the property owner. In addition to providing access, the agreements contain, as applicable, commitments by the property owner not to violate post-remediation institutional controls required as part of the DEC-approved remedy and not to interfere with the operation of any DEC-required engineering controls.

Post-Remedial Measures

Q. Does the completion of the remedial construction phase of the DEC-approved remedies for Con Edison's MGP Sites or other SIR Program sites mark the end of Con Edison's obligations under its MGP Agreements or other agreements with the DEC for those sites?

A. It does so only for sites that have been remediated to the DEC's "unrestricted use" standards. However, because many of the Company's MGP Sites and other SIR Program sites are in highly developed areas occupied by existing buildings or facilities, or present other logistical challenges, it is frequently not feasible to remediate a site to meet "unrestricted use" standards pursuant to the DEC's regulations and guidance. At other sites, it may not be cost-effective to meet "unrestricted use" standards due to the background levels or depths of contaminants present at the site. In such cases, Con Edison may propose, and the DEC and DOH may allow, remediation to alternative standards that protect public health and the environment for specified uses of the site. If Con Edison does not remediate a site to "unrestricted use" standards, Con Edison and the property owner must comply with one or more DEC-required

institutional and/or engineering controls at the site to address the remaining contamination after completing remedial construction and to help minimize the potential for exposure to such contamination. Examples of typical institutional controls include restrictions on the use and redevelopment of a remediated property that are made enforceable by the DEC through environmental easements or deed restrictions. Engineering controls include subsurface containment or cutoff walls, sub-slab soil gas ventilation systems, groundwater treatment, or product (*e.g.*, coal tar, gasoline, or fuel oil) recovery systems. These controls are required in perpetuity or until the DEC, with DOH concurrence, determines that they are no longer necessary.

In order to comply with these various controls, the Company is required to prepare a Site Management Plan ("SMP") for the DEC's approval. A typical SMP includes procedures to:

- Operate and maintain engineering controls and/or treatment systems;
- Maintain compliance with institutional controls, where applicable;

- Inspect and evaluate site information periodically to determine whether the remedy continues to be effective; and
- Monitor and report the performance and the effectiveness of the remedy, including periodic sampling.

SIR PROGRAM STAFFING AND INTERNAL CONTROLS

Internal Staffing and Consultants/Contractors

Q. How many Con Edison employees are directly involved in the Company's SIR Program on a full-time or a regular basis?

A. The Company currently has 28 employees directly involved in its SIR Program on a full-time or a regular basis. This includes 11 employees in the Company's EH&S Department (described above), one employee in its Regional Corporate Affairs Department, 12 employees in its CM Department, and four employees in the Law Department. The number of CM Department employees involved in the SIR Program may vary depending on SIR Program activity and construction project activity.

Q. Please describe the role of the EH&S employees in the Company's SIR Program.

A. The Remediation Department of EH&S has overall responsibility within the Company for managing the Company's SIR Program. As described above in the subsection "Maintaining Experienced Staff" found under the section entitled "SIR Program Cost Saving Efforts and Practices", this department consists of 11 employees: one Director, one Department Manager, and nine engineers and/or scientists. Remediation staff persons serve as Project Managers and Project Engineers for their assigned sites under the SIR Program. Their responsibilities include:

- Directing the consultants on the development of work plans (investigation, remediation, remedial design) and reports (investigation, AAR, remediation, site management plan) for the DEC's and DOH's approval and review of remediation contractor engineering submittals;
- Coordinating with the Law Department, Corporate Affairs, and property owners to complete access and cooperation agreements;
- Coordinating with CM to implement the investigation and remediation work plans;

- Providing input to CM concerning proposed remediation contractor change order requests;
- Reviewing and approving the consultants' budgets, and reviewing and recommending for approval consultants' invoices;
- Coordinating and negotiating with the DEC, DOH, EPA, consultants, and property owners on the development of proposed remedies;
- Participating in the procurement process to select a remediation contractor for each of their remediation projects;
- Participating in negotiations with property owners and the Law Department on cooperation agreements with respect to remediation responsibilities and cost sharing;
- Participating in public meetings and other meetings with stakeholders in connection with investigation findings, proposed remedies, and other project-related issues;
- Preparing and overseeing project schedules and budgets;
- Preparing quarterly projections of expenditures and estimates of future liability; and

- Providing periodic reports on the status of their projects to Company management.

Q. Please describe the role of the CM employees in the Company's SIR Program.

A. CM employees support EH&S in the implementation of the SIR Program investigation and remediation work. This includes support of fieldwork, review of bid specifications, and management of remediation contracts and contractors.

Q. Please describe the role of the Law Department employees in the Company's SIR Program.

A. The Law Department provides environmental legal support, including: (1) the negotiation and preparation of access, cooperation, and other agreements with the present owners, lessees, and/or developers of the Company's and its corporate predecessors' former MGP and other sites; (2) assistance in the preparation of legally-binding institutional controls, such as environmental easements, for remedial properties as required by the DEC; (3) the negotiation and preparation of consent orders, consent decrees, PRP group participation agreements, and other agreements for Superfund Sites owned by third parties; (4) as applicable, participation in PRP groups and

allocation proceedings for third-party Superfund Sites; (5) when appropriate, litigation to protect the Company's interests when negotiations are unsuccessful in resolving important issues (*e.g.*, claims against insurance carriers and third parties); and (6) evaluation of legal risks associated with environmental contamination before purchasing new sites or selling existing ones.

Q. Are there other Company employees who support the SIR Program on an intermittent basis?

A. Yes. These include, but are not limited to, employees in Real Estate, other groups within EH&S, Facility & Field Services, Accounting, and other organizations as necessary.

Q. Please describe the role of outside consultants and subcontractors in the Company's SIR program.

A. The Company uses qualified and competitively priced environmental consultants to perform engineering/scientific work to prepare investigation work plans, perform investigations and prepare reports of investigation findings, evaluate remedial alternatives, prepare remedial action plans and specifications, perform treatability and pilot tests, as well as remediation

oversight, and prepare remediation reports under the direct supervision of the project manager.

Q. What primary types of subcontractors do environmental consultants typically use during investigations?

A. The Company's environmental consultants typically use subcontractors to perform physical work such as drilling subcontractors to perform test pits and to install soil borings and groundwater monitoring wells, laboratory subcontractors to perform sample analyses required by agency-approved work plans, and land surveyor subcontractors to document the precise geographic coordinates of test pit, boring, and well locations.

Q. What about the option of buying the required drilling equipment and using the Company's own laboratory for analytical support?

A. There is not sufficient regularly scheduled work to justify the cost of purchasing drilling equipment, including associated regular maintenance and repair costs, and hiring of properly trained and experienced full-time operators. With respect to using an in-house laboratory, although the Company has a state-approved environmental laboratory, Con Edison's ACOs and consent

decrees with the EPA explicitly require the use of independent contractors acceptable to EPA for such work.

Q. What role do remediation contractors, who perform physical work, play in the Company's SIR Program?

A. The Company uses qualified and competitively priced remediation contractors to implement the required remedial construction elements of its agency approved site remedies. Remediation contractors typically use engineering subcontractors to prepare detailed design documents (*e.g.*, sheeting and shoring plan) and obtain building permits; environmental/safety consultants to prepare EH&S plans, perform air and personnel monitoring, and obtain wastewater discharge permits; waste transporters and waste management facilities to dispose of wastes generated during the remediation project; and laboratories to perform analyses required by waste management facilities or for other purposes. In addition, remediation contractors use various material and equipment suppliers and installers.

Q. What about the option of buying the required construction equipment or using Company employees to perform some of the remediation activities?

A. There is not sufficient regularly scheduled work to justify the cost of purchasing specialized construction equipment, including associated regular maintenance and repair costs, and hiring of specially trained and experienced operators. Examples of specialty equipment include large diameter (*e.g.*, 30 inches) drill rigs for installing secant piles, equipment used to install slurry walls, equipment for performing in-situ chemical treatment, and equipment for performing in-situ contaminant stabilization. Additionally, even if Con Edison spent funds on acquiring specialty equipment, remediation work involves a specialized labor force which oftentimes has specific training, certifications, hand-on experience operating specialized equipment, and other technical qualifications. Con Edison's current labor force, therefore, would need additional specialization or personnel if Con Edison were to perform the remediation work itself.

Q. Has the Company adopted any procedures for selecting and retaining environmental consultants and remediation contractors?

A. As discussed below in our testimony under "Internal Controls", the Company has and implements comprehensive

procedures and protocols for selecting and retaining outside environmental consultants and remediation contractors. As part of this selection process the following criteria are considered related to MGP contracts: New York State MGP Experience; Urban Experience; Sediment Experience; Utility Experience; Historic Performance with the Company; Quality Assurance/Quality Control ("QA/QC") Programs used by the consultant; and consultant Health & Safety performance.

Internal Controls

Q. Does the Company have internal controls for managing its SIR Program?

A. Con Edison has a comprehensive system of internal controls in place to see that it performs its SIR projects at the lowest reasonable cost. The Company employs the following internal controls to achieve this objective:

- Standardized remediation contractor management protocols;
- Established procedures for selecting and retaining environmental consultants and remediation contractors;

- Rigorous process for the review and approval of consultant and contractor invoices;
- Self-assessments; and
- Internal audit process.

Q. Please identify the Company's remediation contractor management protocols.

A. These protocols include the Company's Contract Administration Manual ("CAM"), Supplemental Construction Contract Requirements ("Supplemental Requirements"), and the Standard Terms and Conditions for Construction Contracts ("Standard Terms"), which are provided as part of the Company's workpapers in this proceeding.

Q. Please summarize the purpose of the CAM.

A. The purpose of the CAM is to provide direction for Company personnel in the administration of contracts to promote the efficient use of Company and contractor resources, as well as compliance with all applicable laws and regulations. It provides detailed guidance for the administration of construction contracts, including remediation-related construction work. The CAM describes the Company's procedures for requisitioning and procurement of construction contracts, establishes guidelines for executing changes to labor contracts after

the PO or contract has been issued, defines the procedures utilized to process payments under construction contracts, and establishes a system for monitoring progress of major projects against a planned schedule. It also sets standards of performance for field activities and provides procedures to be followed in their execution and provides instructions to promote compliance with the Company's requirement that contractors working for Con Edison have fully developed site/task specific EH&S plans for their work.

Q. Please summarize the purpose of the Supplemental Construction Contract Requirements.

A. The Supplemental Requirements contain requirements for the contractor's management of construction work, including remediation-related construction work. The Supplemental Requirements establish requirements for contractor performance regarding documentation, notice to proceed, payment provisions and invoicing procedures, approval of subcontractors, schedule monitoring, working hours, use of proper personal protective equipment ("PPE"), adherence to safety regulations, contractor performance evaluation and identification of hazards encountered at the job site. The Supplemental

Requirements identify required submittals and a schedule of submissions for items such as shop and work drawings, operating procedures, substitution of materials, and as-constructed drawings. They supplement Con Edison's Standard Terms and Conditions and govern the contractor's work regarding the use of qualified representatives; work permits; equipment and material delivery, handling, and storage; waste transportation and disposal; and site maintenance.

Q. Please summarize the purpose of the Standard Terms.

A. The Company's Standard Terms are incorporated into its contracts for construction services, including remediation-related construction work. The Standard Terms define the contractual obligations of the contractor and Con Edison. The obligations and stipulations that are addressed include, but are not limited to Contract Formation; Specifications, Plans, and Drawings; Price and Payment; Time for Completion; Excusable Delay; Safeguards in Work; Work Conditions; Contractor's Performance; Con Edison's Authority; Estimated Quantities; Warranties; Changes; Claims; Codes, Laws and Regulations, and Maintenance of Work.

Q. Are there similar terms and conditions for professional services and service contracts?

A. Yes. The Company has Standard Terms and Conditions for Professional Services Contracts and Standard Terms and Conditions for Service Contracts.

Q. Please describe the process Con Edison uses to select and retain its SIR Program environmental consultants.

A. The Company's internal procurement process to retain environmental consultants for the SIR Program consists of the following general steps:

- Identification of technically qualified and cost competitive consultants - A technical evaluation is performed as a pre-qualification phase before a Purchase Requisition is issued or cost proposals are solicited.
- Preparation of Purchase Requisition – This is the formal request to the Company's Supply Chain Department for procurement action. The Purchase Requisition is issued by EH&S and includes the services required, estimated budget, recommended bidders, scope of work and any other related documents.

- Purchase Requisition – This must be approved by the appropriate level within the Company before it is sent to Supply Chain.
- Issuance of Request for Quotation ("RFQ") - After it receives a Purchase Requisition, Supply Chain assigns a procurement specialist to the project. The procurement specialist works with EH&S to prepare a RFQ inviting consultants to submit technical proposals and commercial proposals. The RFQ may include a pre-bid meeting and always includes a deadline for submitting proposals. Alternatively, Supply Chain may follow a two-step process by first issuing a Request for Information ("RFI") and then issuing an RFQ to solicit commercial proposals once the most technically qualified firms are identified by EH&S, or by issuing multiple rounds of RFQs where the first round is to solicit vendor qualifications.
- Pre-Bid Meeting – If necessary, a pre-bid meeting is typically conducted at least one week after the consultants receive the RFQ. This allows the consultants to review the scope

of work prior to the meeting and to ask pertinent questions.

- Review of Technical Proposals or Qualifications – An RFQ may require the consultants to submit separate technical and commercial proposals. Technical proposals and qualification packages are forwarded by Supply Chain to EH&S for review. Commercial proposals are retained by Supply Chain for evaluation if the bidding consultants' technical proposals are found to be acceptable. Technical evaluation criteria are normally established by EH&S prior to the issuance of the RFQ or RFI, and the consultants are informed of those criteria as discussed above. After completion of its technical review, EH&S provides a report with the review results to Supply Chain.
- Review of Commercial Proposals – After receiving the results of the technical or qualifications evaluation from EH&S, Supply Chain evaluates the commercial proposals submitted by those consultants with acceptable technical scores or those deemed to be

technically qualified. For projects that do not require a technical proposal, the commercial evaluation begins upon the receipt of the commercial proposals. Supply Chain identifies the low bidder (or bidders if multiple contracts are to be awarded) and negotiates pricing with the low bidder(s), if appropriate. A meeting with the consultant(s) may be held to avoid possible misunderstandings regarding the required work scope.

- Contract Award – The consultants that have been found to be technically acceptable or technically qualified and that have submitted the lowest cost proposal based on the commercial evaluation are recommended by the Supply Chain procurement specialist for award of a PO or a Purchase Agreement ("PA") to perform the consulting services. The level of approval required depends on the value of the PO or PA.

Q. How does Con Edison select remediation contractors?

A. The selection of contractors is a multi-step process. The first step in Con Edison's remediation contractor

procurement process for its SIR Program was the development of a pre-qualified bidders list. The purpose of this list is to streamline the selection process by establishing a short list of contractors pre-qualified to bid on future MGP, as well as other, remediation projects. The list obviates the need to evaluate which firms should be invited to bid on each remediation project.

The procurement process to hire a remediation contractor consists of the following general steps:

- Preparation of Purchase Requisition – This is the formal request to Supply Chain for procurement action. The Purchase Requisition is issued by CM, and it includes the services requested, estimated budget, recommended bidders, detailed specifications and other related documents. The Purchase Requisition must be approved by the appropriate level within Construction before it is sent to Supply Chain.
- Issuance of Request for Quotation - After Supply Chain receives a Purchase Requisition, a procurement specialist is assigned to the

project. The procurement specialist works with CM and EH&S to prepare an RFQ inviting the contractors to submit a technical proposal and a commercial proposal. Depending on the scope of work and other considerations, Supply Chain may request a commercial proposal only, without a technical proposal. The RFQ includes a scheduled field visit to the site and a deadline to submit proposals.

- Technical Proposal - As indicated earlier in our testimony, technical proposals may be required for large (based on cost and scope of work), complex projects (based on engineering considerations and property constraints), to help bidders understand the scope and complexities of the project. For relatively small, straightforward projects, a technical proposal and associated technical evaluation may not be required. For these sites, Supply Chain will issue an RFQ under which the contractors would submit just a commercial proposal without a technical proposal. A decision concerning whether to perform a

technical evaluation is made by the EH&S Remediation Department in consultation with Construction.

- Field visit – The field visit is typically conducted at least one week after the contractors receive the RFQ. This allows the contractors to review the specifications prior to the field visit and ask pertinent questions.
- Review of technical proposals (when a technical proposal is required) – The RFQ requires the contractors to submit separate technical and commercial proposals. Technical proposals are forwarded by Supply Chain to CM and EH&S for their review. The commercial proposals are retained by Supply Chain for later evaluation if the bidding contractors' technical proposals are found to be acceptable. Technical evaluation criteria are normally established by CM and EH&S prior to the issuance of the RFQ, and the contractors are informed of those criteria.
- Review of commercial proposals – After receiving the results of any technical

evaluation from CM and EH&S, Supply Chain evaluates the commercial proposals submitted by those contractors with acceptable technical scores. For small, straightforward projects that do not require a technical proposal, the commercial evaluation begins upon the receipt of the commercial proposals. Supply Chain works with the Company's Bid-Check Estimating Section to evaluate the pricing information submitted by the contractor with the lowest cost proposal to determine if the proposed labor rates, unit prices, lump sum prices, and other cost items are reasonable and consistent with current market conditions. A meeting with the contractor may be held to avoid misunderstandings regarding the required work scope.

- Contract award – The contractor that submitted a technically acceptable proposal (if a technical evaluation was performed) and the lowest cost proposal based on the commercial evaluation is recommended by the Supply Chain procurement specialist for award of a PO or PA

to perform the remediation. The level of approval required depends on the value of the PO or PA.

Q. Does Con Edison have policies and procedures associated with the procurement process?

A. Yes. Some of these policies and procedures are listed below:

- Corporate Instruction 280-4: "Administration of Construction, Service, and Public Improvement/Interference Contracts". This corporate instruction authorizes publication of the CAM described above.
- Corporate Policy Statement 300-5: "Statement of Procurement Policies and Procedures".
- Corporate Instruction 320-14: "Acquisition of Materials, Supplies, or Services".
- Supply Chain Operating Procedure SCOP-301: "Procurement Decisions".
- Supply Chain Operating Procedure SCOP-302: "Bid Evaluations".
- Supply Chain Operating Procedure SCOP-303: "Request for Quotations".

- Supply Chain Operating Procedure SCOP-304: "Bid Negotiations".
- Supply Chain Operating Procedure SCOP-305: "Authorizing Purchase Orders and Contracts".
- Supply Chain Operating Procedure SCOP-306: "Terms and Conditions for Procurements".
- Supply Chain Operating Procedure SCOP-307: "Contract Management and Renewal".
- Supply Chain Operating Procedure SCOP-308: "Contract and Standard Purchase Order Modifications".
- Supply Chain Operating Procedure SCOP-310: "Procurement Files".
- Supply Chain Operating Procedure SCOP 208 - Third-Party Risk Assessment and Ongoing Monitoring
- Corporate Environmental, Health and Safety Procedure CEHSP A12.03: "EH&S Qualifications for Supplier Procurement and Oversight".

Q. Please describe the Company's oversight process for the services provided by its SIR Program remediation contractors.

A. The Company utilizes CM personnel to administer and oversee remediation contracts. Remediation projects are procured primarily as fixed price contracts that may have unit prices for certain types of work such as excavation and disposal, backfill, and water treatment. As described above, CM utilizes established procedures contained in the Company's CAM to monitor work and to execute changes to contracts.

The CAM prescribes the responsibilities of the field personnel responsible for managing contract construction work and provides detailed procedures for documenting the progress of work in the field. Field inspectors are assigned to projects and, depending on the size and scope of the work, will generally oversee the work of the contractor daily. The duties of field inspectors include, but are not limited to, such items as job set-up review; schedule review and compliance; review of work completed by the contractor; inspection of work, environmental and safety compliance; completion of the Con Edison daily logbook; input into the Contractor Oversight System; and project closeout procedures. The field inspector will set up and maintain a central filing

system to retain pertinent contract correspondence and documents.

The Company's CM personnel are responsible for the implementation of changes to the base contract and are thoroughly familiar with the reason for the change, its scope and effect on the schedule. In the case of design changes, sufficient liaison with the EH&S project manager is required to make sure the change is implemented in a timely fashion to help minimize its effect on the overall job. For all changes, the CM personnel prepare a Finding of Fact that provides a description of the change, the reason for the change, a range figure estimate of material, equipment and labor costs, and details the change's effect on the project schedule. Findings of Fact are reviewed and approved by the supervisor and at higher levels of management depending on the individual and cumulative dollar value of the estimated cost of the change. The EH&S project manager for the remediation project also must concur with the Findings of Fact before they are approved. After the Findings of Fact are approved at the appropriate management level, a change order request is issued to the contractor to provide a price for the work. If the change order is estimated to

be more than $25,000, Con Edison's Bid Check Estimating group will also provide an independent price for the work scope change. Once a price agreement is reached, a contract modification is processed based once again on the designated management approval level, which is dependent on the individual and cumulative dollar value of the change. If agreement cannot be reached on a fixed price or unit price, then Con Edison may authorize the contractor to proceed to implement the change on a time and materials basis in accordance with the aforementioned contract management documents until an agreement is reached or in lieu of an agreement on a fixed or unit price.

Q. What is the Company's process for the review and payment of SIR Program environmental consultant invoices?

A. EH&S manages contracts with environmental consultants. The following steps are generally followed by EH&S project managers in their review of invoices submitted by the consultants:

- Utilize an online centralized accounting system that tracks all unit rates specified in the PO for labor, material charges, and other line items. This feature of the system eliminates

the potential for consultants to charge rates that are not specified in the PO and eliminates potential contractor calculation errors that could occur with paper invoices.

- Reconcile the number of units for each line item/work activity claimed to have been used/performed with the number of units actually used/performed. This is done through discussions and a review of field notes and other supporting documentation. Under the accounting system, consultants submit electronic invoices on the system in lieu of submitting paper invoices. Before a consultant submits an invoice electronically, the consultant provides the EH&S project manager with the quantity of each PO line item that it plans to invoice and the information that supports the planned invoice, such as time sheets or subcontractor invoices. The project manager then reviews the supporting information to verify that it is consistent with the information specified in the purchase requisition used by Con Edison to request the

consultant's services. Purchase requisitions specify the requested services by PO line item and identify the appropriate project and task numbers (previously known as account numbers or work order numbers) that will be charged.

- Once the project manager is satisfied that the charges proposed for invoicing by the consultant are substantiated (for invoices up to $3,000), the project manager will enter the approved quantity for each line item in the system as having been received. For invoices exceeding $3,000, the project manager will submit proposed invoices and supporting information to the section manager for approval before entering approved quantities for each line item in the system. The system will automatically reject payment requests for line-item amounts exceeding those authorized in a purchase requisition.

Q. What is the Company's process for the review and payment of SIR Program contractor invoices?

A. CM is responsible for the review and approval of SIR Program remediation contractors' invoices. CM uses the

following Con Edison documents to format, reconcile and process payment applications from such contractors: (1) CAM; (2) Supplemental Requirements, and (3) Standard Terms. The purposes of these documents are explained earlier in our testimony.

Remediation contractors are required to submit Performance Statements that correlate with their project schedule. Performance Statements are tabulated summaries of the contractor's work and mirror the contractor's price schedule. Lump sum, unit price and change order items are listed on the Performance Statement and include information on the description of work, the quantity of work, the unit price of work if applicable, and the total value of work. The Performance Statements indicate the value of work completed to date, the value of work requested for the current payment application and the total value of work remaining. CM receives performance statements from the contractor that include back-up information such as weight tickets, survey measurements and as-built drawings that are used to substantiate the accuracy of the invoice. If the invoice is not approvable in its entirety, the contractor is required to revise it as appropriate, or approval of partial payment

is recommended. Once the CM section that manages the remediation contractor determines that the performance statement is acceptable, that section signs the performance statement and sends it to the contractor and to CM's Administrative Services Group. The contractor then submits the signed performance statement along with its invoice to CM's Administrative Services Group, which compares the signed performance statement provided by the CM section that manages the contractor and the invoice submitted by the contractor. CM's Administrative Services Group reconciles the contractor's invoice with the performance statement before processing the invoice for payment.

Once an invoice is approved, it is receipted on the Company's centralized online accounting system for subsequent payment.

Q. Does Con Edison regularly review the financials for SIR sites?

A. Yes. Con Edison's Accounting Department works with the EH&S Remediation group and reviews the financials on a monthly basis for site-specific and program-specific expenditures.

Q. Do these monthly reviews include identification of any expenditure that may have been erroneously charged to a particular site?

A. Yes. Accounting Department staff and EH&S Remediation staff review listed expenditures. If any expenditures are identified that appear to have been charged to an SIR site account erroneously, Accounting and EH&S investigate and, if appropriate, have the charge transferred to appropriate project and task numbers.

Q. Has Con Edison conducted internal audits of its SIR Program projects?

A. Audits of SIR projects have been conducted by Con Edison's Auditing Department, Quality Assurance team, and an external consultant. The audit process reviews have included, among other things, whether:

- The project was competitively bid and awarded to the lowest bidder among the technically acceptable contractors;
- The engineering package was accurate and complete;
- EH&S regulations and contractor health and safety plans were complied with;

- CM properly managed, monitored, and documented the project, and any changes in the project scope were properly justified;
- Project payments were accurate and timely, and any increases in pricing were properly justified and reviewed for accuracy; and
- CM effectively monitored contractor work and completed the appropriate oversight inspections and the required associated documentation.

The most recent internal audits were conducted in 2020 and 2024 and involved an assessment of the controls in the environmental remediation program at Con Edison and its affiliate, Orange and Rockland Utilities, Inc., related to procurement, contractor oversight, employee safety, site safety/work area protection, vehicle and equipment safety, and regulatory compliance.

COMPLIANCE WITH RATE CASE FILING REQUIREMENTS

Q. Are you familiar with the Commission's rate case filing requirements with respect to SIR costs?

A. Yes, we are. In its Order of November 28, 2012, in Case 11-M-0034 ("Order"), the Commission adopted several rate case filing requirements with respect to SIR costs in order to enhance its oversight of these costs.

Q. Please state what these filing requirements are.

A. The Commission's order states that in any future rate filing in which a utility seeks to recover SIR expenses, it must provide sworn testimony: (1) establishing that the remediation process is in compliance with existing timetables and DEC requirements, or providing explanations for any divergence; (2) discussing the utility's cost control efforts, including an attestation to utility compliance with the best practices inventory; and (3) indicating the results of any internal process the utility may have conducted with respect to review of SIR procedures, and in particular explaining how internal controls are brought to bear on site investigation and remediation projects.

Q. Please discuss the Company's compliance with these requirements.

A. For a discussion of the Company's compliance with existing timetables and DEC requirements for remediation programs, see the "Discussion of SIR Program Sites" section of our testimony. Pursuant to the Commission's Order, the utilities have established an inventory of best practices, which has been accepted by the Department of Public Service Staff. By this testimony, we are

attesting that Con Edison complies with the best practices inventory. We discuss in detail above the Company's SIR cost control efforts and practices in the section of our testimony entitled "SIR Program Cost Saving Efforts and Practices." Finally, we discuss above the Company's internal controls and how those controls are brought to bear on site investigation and remediation projects.

Q. Does this conclude your testimony?

A. Yes it does.